

ACCOUNT

FINAL REVISION

By Luffy & Mindmaster



Chapter 1: Accounting for Partnership Firms - Fundamentals

• Meaning of Partnership

- Partnership is an agreement between two or more persons to share the profits or losses of a business carried on by all or any one of them acting for all.

As per Indian Partnership Act, 1932

2. Essential Elements of Partnership

- Agreement** - Partnership arises from an agreement, not by status

- Two or more persons
- Business = Must be lawful
- Sharing of Profits & Losses



- Mutual Agency** - Each partner is agent & principal

⚠️ **Mutual agency is the most important element**

3. Partnership Deed

- Common Clauses:
 - Capital Contribution
 - Profit Sharing Ratio
 - Interest on Capital
 - Interest on Drawings
 - Salary/Commission to Partners
 - Valuation of Goodwill
 - Admission/Retirement Rules

4. Rules in Absence of Partnership Deed

- If deed is silent:
 - Profit Sharing Ratio → Equal
 - No Interest on Capital
 - No Interest on Drawings
 - No Salary/Commission
 - Interest on Loan → 6% p.a.

14. Key Exam Tips

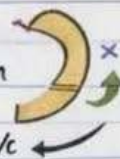
- Check Deed First!
- Interest & Salary = Appropriations
- Write Working Notes!
- Proper Formats!

11. One-Line Revision

- Partnership = Agreement + Sharing + Mutual Agency.
- Deed Silent → Equal PSR
- P&L Appropriation = Distribution
- Interest on Capital = Appropriation
- Interest on Drawings = Charge

5. Profit & Loss Appropriation A/c

- Credit Side → Net Profit
- Debit Side → Interest on Capital
 - Partner's Salary/Commission
 - Interest on Drawings
 - Share of Profit to Capital A/c



6. Interest on Capital

- On Opening Capital
- For Period Invested
- Formula: $\text{Capital} \times \text{Rate} \times \text{Time}$



7. Interest on Drawings

- Methods:
 - Simple Method
 - Average Period Method
- Formula: $\text{Total Drawings} \times \text{Rate} \times \frac{\text{Avg. Period}}{12}$

Avg period = $\frac{\text{time remaining after first drawing} + \text{time remaining after last drawing}}{2}$



8. Partner's Salary/Commission

- Allowed if in Deed
- It is Appropriation



9. Profit Sharing Ratio (PSR)

- Equal PSR
- Unequal PSR
- If Deed Silent → Equal PSR

10. Fixed vs Fluctuating Capital

Basis	Fixed Capital	Fluctuating Capital
Capital Remains	Fixed	Fluctuating
Current A/c	Yes	No
Commonly Used	✗	✓

12. Guarantee of Profit

- Actual < Guaranteed → Deficiency Borne
- Actual > Guaranteed → Normal PSR

13. Past Adjustments

- Calculate Correct Amounts
- Compare with Actual
- Pass Adjustment Entry

Chapter 2: Accounting for Goodwill – Full Revision

1 Meaning of Goodwill

- Goodwill is the value of reputation of a firm which enables it to earn higher profits than normal.

Definition: Goodwill is an intangible asset arising from factors like reputation, location, customer loyalty, quality products, etc.

2 Features / Characteristics of Goodwill.

- Intangible asset
- Cannot be seen or touched
- Value fluctuates
- Arises only on purchase of business
- Represents future earning capacity

3 Factors Affecting Value of Goodwill.

- Location of business
- Nature & quality of goods
- Efficiency of management
- Market situation
- Risk involved
- Past profits
- Capital invested

4 Need for Valuation of Goodwill

- Admission of a partner
- Retirement of a partner
- Death of a partner
- Change in profit-sharing ratio
- Sale of business
- Amalgamation



5 Methods of Valuation of Goodwill.

A. Average Profit Method

(i) Simple Average Profit Method

- $\text{Goodwill} = \text{Average Profit} \times \text{Number of Years' Purchase}$
- Calculate past profits
- Find average profit
- Multiply by years' purchase

(ii) Weighted Average Profit Method

- $\text{Goodwill} = \text{Weighted Average Profit} \times \text{no. of year purchased}$
- Assign weights to profits
- Multiply profit $\times$ weight
- Find weighted average.

6 Accounting Treatment of Goodwill (As per AS-26)

- Goodwill should not be raised in books unless:
 - It is purchased
 - Paid in cash or kind

8 Sacrificing Ratio

- $\text{Sacrificing Ratio} = \text{Old Ratio} - \text{New Ratio}$
- Used at the time of admission.

9 Gaining Ratio (Quick Link)

- $\text{Gaining Ratio} = \text{New Ratio} - \text{Old Ratio}$
(Used in retirement, not admission)

4 Important Exam Tips

- $\text{Sacrificing Ratio} = \text{Old Ratio} - \text{New Ratio}$
- Used at the time of admission

6 Capitalisation Method

(i) Capitalisation of Average Profit

- $\text{Goodwill} = \text{Capitalised Value} - \text{Actual Capital Employed}$
- $\text{Capitalised Value} = \text{Average Profit} \times \frac{\text{Normal Rate}}{100}$



(ii) Capitalisation of Super Profit

- $\text{Goodwill} = \text{Super Profit} \times$

7 Treatment of Goodwill on Admission of a Partner

Case 1: Goodwill Brought in Cash

Cash A/c $\rightarrow$ Dr

To Premium for Goodwill A/c

Premium for Goodwill A/c $\rightarrow$ Dr old ratio)

8 Case 2: Goodwill not bought in cash

- **New partner's current A/C DR.**

- To Old Partners' Capital A/c (in old ratio)

10 Important Exam Tips

- Always calculate Normal Profit carefully
- Write clear working notes
- Mention formula before calculation
- Goodwill adjustment is done in capital accounts
- Do not create goodwill unless asked

Chapter 3: Change in Profit-Sharing Ratio

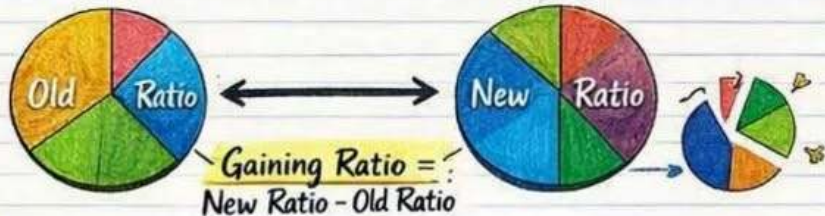
(Class 12 Accountancy – Full Revision)

1 Meaning of Change in Profit-Sharing Ratio

Change in Profit-Sharing Ratio means a situation where existing partners decide to change their ratio of sharing profits & losses among themselves without admission or retirement of any partner.

It is done to:

- Increase fairness
- Adjust contribution
- Motivate partners



2 Reasons for Change in PSR:

- ▶ Change in capital contribution
- ▶ Change in responsibility or workload
- ▶ Desire to reward efficient partner
- ▶ Change in mutual agreement
- ▶ Change in profit-earning capacity

4 Accounting Treatment on Change in PSR:

- ▶ Adjustment of Goodwill
- ▶ Revaluation of Assets & Liabilities
- ▶ Adjustment of Reserves & Accumulated Profits
- ▶ Adjustment of Capitals (if required)

5 Adjustment of Goodwill:

Reason: Gaining partners must compensate losing partners for the share of goodwill sacrificed,

▶ Sacrificing Share = Old Ratio - New Ratio

- ✓ Only **losing** partners sacrifice
- ✓ Only **gaining** partners pay

6 Adjustment of Assets & Liabilities:

- ▶ Adjustment of Reserves & Accumulated Profits
- ▶ Adjustment of Capitals (if required)

3 Old Ratio, New Ratio & Gaining Ratio:

▶ **Old Ratio:**

The ratio in which partners were sharing profits before change.

▶ **New Ratio:**

The ratio in which partners will share profits after change.

▶ Gaining Ratio = New Ratio - Old Ratio

✓ Only **gaining** partners are compensated

✓ **Losing** partners sacrifice their share



7 Journal Entry:

Gaining Partner's Capital A/c Dr
To Sacrificing Partner's Capital A/c
(Being goodwill adjusted through capital accounts)

8 Balance Sheet After Change in PSR:

- ✓ Always write formula before calculation
- ✓ Mention old ratio / new ratio clearly
- ✓ Goodwill is adjusted only through capital accounts
- ✓ Revaluation profit / loss → **Old ratio**
- ✓ Do NOT create goodwill unless asked

One-Line Ultra Revision:

- Change in PSR = Rearrangement among existing partners
- Gaining Ratio = New - Old
- Gaining partners compensate losing partners
- Goodwill adjusted through capital



Chapter 4 – Admission of a Partner (Full Revision)

Meaning of Admission of a Partner

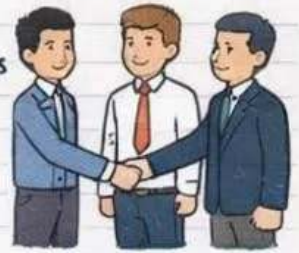
Inclusion of a new partner with consent of existing partners

Reason for admission:

- ★ Need for more capital
- ★ Expansion of business
- ★ Special skills or experience
- ★ Sharing workload

Effects of Admission of a Partner:

- ★ Change in Profit Sharing Ratio (PSR)
- ★ Treatment of Goodwill
- ★ Revaluation of Assets & Liabilities
- ★ Distribution of Reserves
- ★ Adjustment of Capital Accounts



1. Profit Sharing Ratio (PSR)

- (a) Old Profit Sharing Ratio
- (b) New Profit Sharing Ratio
- (c) Sacrificing Ratio

Formula: $\text{Sacrificing Ratio} = \text{Old Share} - \text{New Share}$

2. Treatment of Goodwill

Method 1: Goodwill brought in Cash

Bank A/c Dr → To Old Partners' Capital A/cs

Method 2: Goodwill NOT in Cash

New Partners Capital A/c → To Old Partners' Capital A/cs

Method 3: Hidden Goodwill

- ★ Total Capital – New Partners' Capital × Reciprocal of Share

4. Distribution of Reserves & Accumulated Profits:

- ★ General Reserve

Rule: Only among Old Partners in Old PSR

Reserve A/c Dr → To Old Partners' Capital A/cs

Revaluation of Assets & Liabilities:

- Profit → Cr to Old Partners' Capital A/cs (Old PSR)
- Loss → Dr. to Old Partners' Capital A/cs (Old PSR)

Common Adjustments:

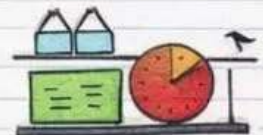
- Increase in Asset → Credit
- Decrease in Asset → Debit
- Increase in Liability → Debit
- Decrease in Liability → Credit
- Unrecorded Asset → Credit
- Unrecorded Liability → Debit



5. Adjustment of Capitals:

(a) Basis: New PSR

- ★ Excess → Withdrawn
- ★ Shortage → Brought in



(b) Fixed Capital Method

Important Exam Points:

- ✓ Using New PSR → Goodwill only
- ✓ Revaluation: Old Partners only
- ✓ No Share in Past Profits for New Partner
- ✓ Assume Adjust Through Capitals

Common Mistakes to Avoid:

- ✗ Using New PSR in Revaluation
- ✗ Giving Reserves to New Partner
- ✗ Missing Sacrificing Ratio
- ✗ Wrong Goodwill Entry

— CHAPTER 5: RETIREMENT OF A PARTNER — FULL REVISION —

1. Meaning of Retirement of a Partner

When a partner leaves the firm voluntarily with the consent of other partners, it is called retirement of a partner.

- ✓ The firm continues with remaining partners.

2. Modes of Retirement

- ✓ A partner may retire:
- ✓ With consent of all partners
- ✓ As per partnership deed
- ✓ In case of partnership at will, by giving notice.

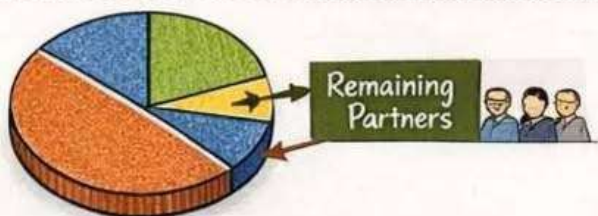
3. Effects of Retirement

- ✓ On retirement:
- ✓ Old partnership ends
- ✓ New partnership begins among remaining partners
- ✓ Assets & liabilities are revalued
- ✓ Goodwill is adjusted
- ✓ Retiring partners capital is settled

4. New Profit Sharing Ratio (NPSR)

Formula:

- ✓ Remaining partners acquire the share of retiring partner.



5. Gaining Ratio

- ✓ **Meaning:** The ratio in which remaining partners acquire the share of retiring partner.

- ✓ Used for Goodwill Adjustment.

6. Treatment of Goodwill

- ✓ **Case 1: Goodwill Appears in Books:**
 - Write off goodwill
 - Debit all partners' capital A/c (including retiring partner.)
 - In old ratio

- ✓ **Case 2. Goodwill Not Appearing in Books:**

⇒ Adjust goodwill through capital accounts only

☑ Gaining Partners' Capital A/c Dr.
(In Goodwill A/c. → (In gaining ratio)

☑ Retiring Partners' Capital A/c CR.



6. Treatment of Reserves & Accumulated Profits/Losses

- ✓ General Reserve
- ✓ P&L Credit Balance
- ✓ Workmen Compensation Reserve

9. Adjustment of Capital (Remaining Partners)

- ✓ After retirement:
- ✓ Capitals should be in new profit sharing ratio
- ✓ Based on total capital of firm

10. Settlement of Retiring Partner's Capital

- ✓ Options:
- ✗ Paid immediately in cash
- ✗ Transferred to loan account

Revaluation A/c Dr. To Capital A/cs

All Partners' Capital A/c Dr. —
→ To Goodwill A/c.

Interest on Loan A/c Dr. To Capital A/cs

13. Common Journal Entries. (One Look Revision)

☑ Revaluation profit: Revaluation A/c.

☑ Goodwill adjustment: Gaining Partners' Capital A/c.
→ To Retiring Partners' Capital A/c

☑ Reserve transfer: Reserve A/c

☑ Capital settlement: Retiring Partners' Capital A/c.
→ To Cash/Loan A/c.

14. Most Common Exam Mistakes ✗

CLASS 12 ACCOUNTANCY

DEATH OF A PARTNER

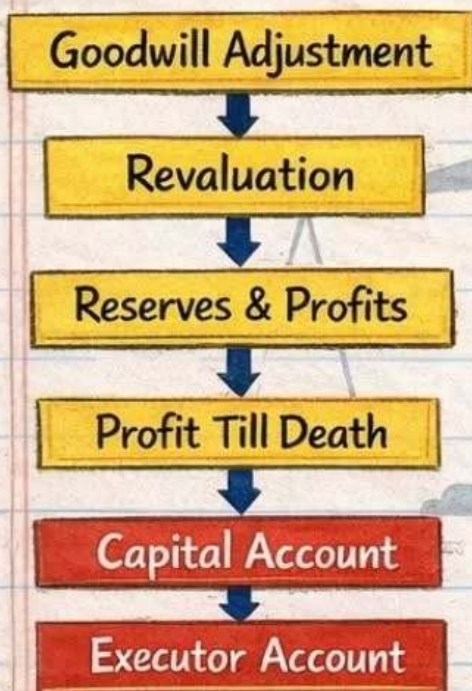
(FULL REVISION)

MEANING:

Reconstitution of Partnership on death of a partner.

Remaining partners continue the business.

ADJUSTMENTS ON DEATH OF A PARTNER



CAPITAL A/c (Deceased Partner)

CREDIT	DEBIT
• Capital	• Drawings
• Goodwill	• Interest on Drawings
• Reserves	• Revaluation Loss
• Profit Till Death	
Balance → Amount to Executor	

- Share of Capital & Goodwill
- Revaluation of Assets & Liabilities
- Accumulated Profits / Losses
- Profit Till Date of Death
- Executor's Account: Amount Due → Paid or Paid or Loan A/c

BALANCE SHEET AFTER DEATH:

- On Date of Death
- All Adjustments Done
- Executor as Liability (if unpaid)

Class 12 Accountancy – Chapter 7

Dissolution of Partnership Firm – FULL REVISION NOTES

1. Meaning of Dissolution of Partnership Firm

- Dissolution of Partnership Firm means the complete closure of the business.
- All assets are sold, liabilities are paid, and the relationship between partners ends.

➡ **Key Point:** After dissolution, business does not continue.



2 Difference: Dissolution of Partnership vs Dissolution of Firm

Basis	Dissolution of Partnership	Dissolution of Firm
Change in Relationship	Change in relationship	Business ends
business	Continues	Stops
cause	Admission / Retirement	Complete closure
accounts	Revaluation A/c	Realisation A/c



3. Circumstances of Dissolution (Sec 39–44)

(A) Without Court

- Agreement
- Compulsory: Insolvency, Illegality
- Certain Events: Expiry, Death, etc.

4. Accounting Treatment on Dissolution

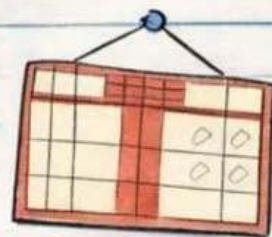
- ♥ Realisation A/c
- ♥ Partners' Capital A/cs
- ♥ Cash/Bank A/c

6. Realisation Account

- (A) To Assets
- (B) For Liabilities
- (C) Sale of Assets
- (D) Payment of Liabilities
- (E) Realisation Expenses Paid by Firm / Partner
- (F) Assets Taken Over by Partner
- (G) Liabilities Taken Over by Partner
- (H) Profit or Loss: 'Profit' → To Partners' Capital A/c
• Loss → Partners' Capital A/c.

5. Partners' Capital Account.

- ➡ Credited:
 - Balance, Reserves,
 - Profit, Assets Taken
- ➡ Debited:
 - Drawings, Loss,
 - Liabilities



8 Cash / Bank Account

- ➡ Receipts:
 - Opening
 - Asset Sale,
- ➡ Payments:
 - Liabilities,
 - Expenses
 - Final Payment

7. Special Situations

- (A) Unrecorded Assets
- (B) Unrecorded Liabilities
- (C) Partner's Loan

9. Order of Payment (Sec 48 – Garner Vs. Murray)

- ➡ Outside Liabilities →
 - Partners Loan → Partners Capital / cash
 - Surplus

11. Important Exam Tips ⚠

All Formats Partnership

Dr.		Realisation A/c		Cr.	
Particulars	Amount (Rs.)	Particulars	Amount (Rs.)		
To Land and Building	xxx	By Sundry Creditors	xxx		
To Plant and Machinery	xxx	By Bills payables	xxx		
To Furniture and Fittings	xxx	By Bank overdraft	xxx		
To Bills Receivable	xxx	By Outstanding expenses	xxx		
To Sundry Debtors	xxx	By Provision for doubtful debts	xxx		
To Cash/Bank (payment of liabilities)	xxx	Cash/Bank (sale of assets)	xxx		
To Cash/Bank (payment of unrecorded)	xxx	By Partner's capital account (assets taken by partner)			
To Partner's capital account (liabilities assumed by partners)	xxx	acpitat			
To Profit (transferred to partner's capital account in their profit sharing ratio)	xxx	By Loss (transferred to partner's)	xxx		
Total	xxx	Total	xxx		

Format: (Fluctuating Capital Method)

Capital Accounts								
Dr.								Cr.
Particulars	X Rs.	Y Rs.	Z Rs.	Particulars	X Rs.	Y Rs.	Z Rs.	
To Drawings				By Balance b/d				
To Interest on drawings				By Interest on capital				
To Balance c/d				By Commission				
				By Salary				
				By Share of Profit				
				By Balance b/d				

Particulars	A's Capital A/C		B's Capital A/C		Firm	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
1. Interest on Capital						
2. Interest on Drawings						
3. Salary/Commission to Partner						
4. Profit / Loss distribution reversal						
Total						
5. Adjustment of Appropriations or correct distribution of Profits/losses in correct PSR						
Net Effect						

Profit & Loss Appropriation Account for the year ended

DEBIT		CREDIT	
Particulars	₹	Particulars	₹
To Interest on Capital A/C		By Profit and Loss A/c	
A		By Interest On Drawings A/c	
B		A	
To Partner's Salaries		B	
To Partner's Commission			
To Reserve A/c			
To Profit Transferred To			
A's Capital A/c			
B's Capital A/c			
C's Capital A/c			

Dr.		Revaluation A/C		Cr.	
Particulars	Amt	Particulars	Amt		
Decrease in value of Assets	-	Increase in value of Assets	-		
Increase in value of Liabilities	-	Decrease in value of Liabilities	-		
Unrecorded liabilities	-	Unrecorded Assets	-		
Profit on revaluation (transferred to the partners' capital account in their profit sharing ratio)	-	Loss on revaluation (transferred to the partners' capital account in their profit sharing ratio)	-		
Total	-	Total	-		

KEY AREA-1

If the death of a partner happens at the end of the year, then the entry of his profits will be passed through the Profit and Loss Appropriation Account, not through the Profit and Loss Suspense Account.

KEY AREA-2

If an asset is undervalued, then it is a profit.

If a liability is undervalued, then it is a loss.

If an asset is overvalued, then it is a loss.

If a liability is overvalued, then it is a profit.

KEY AREA-3

In the Shares chapter, always check whether the defaulter shareholder's shares are applied or allotted and always forfeited allotted shares

KEY AREA-4

While calculating goodwill or deceased partner's share in profits, always check whether the profits are to be calculated on average profit or aggregate profit

KEY AREA-5

In the Cash Flow Statement, if dividend is paid to equity shareholders, it means it has already been paid to preference shareholders.

KEY AREA-6

If you have to prepare a Cash Book in the Shares chapter, then there is no need to pass separate bank entries, as they are already recorded in the Cash Book.

KEY AREA-7

Students, if in Comparative or Common Size questions your percentage comes in decimal form, do not worry. Answers can come in decimals and you have to calculate decimals up to 2 digits.

KEY AREA-8

Always understand and check the difference between Depreciation charged during the year and Accumulated Depreciation on assets sold.

KEY AREA-9

Profit or loss is always calculated on the Book Value, not on the original value.

KEY AREA-10

If the balance of security premium is given and debentures are issued on premium, then both security premium balance and premium received on issue of debenture is utilised on writing off loss on issue of debentures.

KEY AREA-11

When nothing is mentioned about the premium for goodwill brought by partners, it means the premium is not brought by the partner

KEY AREA-12

Always check in case of dissolution expenses, by whom the expenses are borne and by whom they are paid

KEY AREA-13

While preparing revaluation account:

If “To” or “At” is written, then it shows the current value.

If “By” is written, then it shows the difference

KEY AREA-14

If the creditors are due after 2 months and we have made the payment immediately then there will be a discount for 2 months.

KEY AREA-15

Dividend paid is always a Financing Activity, irrespective of the nature of the business (trading, manufacturing, or financing).

KEY AREA-16

If security premium is increasing then shares or debentures are issued at premium and it will be added in financing activity.

KEY AREA-17

Marketable securities are treated as Cash and Cash Equivalents

KEY AREA-18

Always check in Shares MCQs whether the question is asking for the amount of Capital Reserve or the amount left in the Forfeited Shares Account.

FUNDAMENTALS OF PARTNERSHIP

Accounting For Partnership Firms: Fundamentals

1. Amit, Sumit and Kiara are partners sharing profits and losses in the ratio 2 : 2 : 1. Sumit is entitled to a commission of 15% on the net profit after charging such commission. The net profit before charging commission is 9,20,000. The amount of commission payable to Sumit will be

- (a) ₹1,20,000. (b) ₹1,38,000.
(c) ₹48,000. (d) 55,200.

(CBSE 2023)

2. Shyam, Gopal and Arjun are partners carrying on garment business. Shyam withdrew ₹10,000 in the beginning of each quarter. Gopal withdrew garments amounting to ₹15,000 to distribute it to flood victims, and Arjun withdrew ₹20,000 from his Capital Account. The partnership deed provides for interest on drawings @ 10% p.a. The interest on drawing charged from Shyam, Gopal and Arjun at the end of the year will be

- (a) Shyam-₹4,800; Gopal-₹ 1,000; Arjun-₹2,000. (b) Shyam-₹4,800; Gopal-₹ 1,000; Arjun- 2,000.
(c) Shyam-₹2,500; Gopal-₹ 750; Arjun-Nil. (d) Shyam-₹4,800; Gopal-Nil; Arjun-Nil.

(CBSE SQP 2024)

**MCQs are not guessing games.
They are clarity tests.**

Concept Clear = Marks Secure. 🔥

GOODWILL & CHANGE IN P.S.R

Goodwill

1. A partnership firm has capital employed of ₹6,00,000. Its average profits are ₹80,000. The normal rate of return in similar type of business is 10%. The amount of super profit is

- (a) ₹60,000. (b) ₹8,000.
(c) 20,000. (d) 52,000.

(CBSE 2023)

Change in Profit Sharing Ratio

1. Bhim, Arjun and Nakul were partners in a firm sharing profits and losses in the ratio of 4:3:3. With effect from 1st April, 2023, they agreed to share profits equally. Due to change in the profit-sharing ratio, Arjun's gain or sacrifice will be

- (a) Sacrifice $\frac{1}{30}$. (b) Gain $\frac{1}{30}$.
(c) Sacrifice $\frac{1}{15}$. (d) Gain $\frac{1}{15}$.

(CBSE 2024)

2. Ria and Surbhi were partners in a firm sharing profits and losses in the ratio of 3: 2. With effect from 1st April, 2022, they agreed to share profits equally. The goodwill of the firm was valued at 3,00,000. The adjustment will be done by which of the following transaction?

- (a) Debiting Surbhi's Account by 30,000 and crediting Ria's Account by ₹ 30,000.
(b) Debiting Ria's Account by 30,000 and crediting Surbhi's Account by ₹ 30,000.
(c) Debiting Surbhi's Account by ₹3,000 and crediting Ria's Account by ₹3,000.
(d) Debiting Ria's Account by ₹3,000 and crediting Surbhi's Account by ₹3,000.

(CBSE 2023)

3. Joey, Sam and Tex were partners sharing profits and losses in the ratio 5: 3:2. We.f 01 April, 2024, they decided to share future profits and losses in the ratio 2: 1: 1. For which of the following balances Tex will be credited at the time of reconstitution of firm, if the firm decided to continue with available accumulated profits and losses balances.

- (a) General Reserve ₹2,00,000 and Profit and Loss (Dr.) ₹1,20,000.
(b) General Reserve ₹2,00,000 and Profit and Loss (Cr.) 2,50,000.
(c) Deferred Revenue Expenditure ₹50,000 and Profit and Loss (Cr.) ₹80,000.
(d) Deferred Revenue Expenditure ₹50,000 and Profit and Loss (Dr.) ₹80,000.

(CBSE Sample Question Paper 2025)

ADMISSION OF A PARTNER

Admission of a Partner

1. Bina and Ria are partners sharing profits in the ratio of 5:3. They admit Siya as a new partner for $\frac{3}{8}$ th share which she acquired $\frac{2}{8}$ th from Bina and $\frac{1}{8}$ th from Ria. The new profit-sharing ratio of Bina, Ria and Siya will be

- (a) 3:2:3. (b) 2:3:3.
(c) 5:5:6. (d) 9:1:6. (CBSE 2023)

2. Rushil and Abheer were partners in a firm sharing profits and losses in the ratio of 4:3. They admitted Sunil as a new partner for $\frac{3}{7}$ th share in the profits of firm, which he acquired $\frac{2}{7}$ th share from Rushil and $\frac{1}{7}$ th share from Abheer. The new profit-sharing ratio of Rushil, Abheer and Sunil will be

- (a) 4:3:3. (b) 2:1:3.
(c) 2:2:3. (d) 4:3:1. (CBSE 2024)

3. Rohit and Mohit were partners sharing profits and losses in the ratio of 2: 1. Their Capital Accounts as on 31st March, 2021 had a credit balance of ₹ 1,09,000 and 66,000 respectively. They admitted Sahil as a new partner on 1st April, 2021 for $\frac{1}{5}$ th share in profits. Sahil brought 25,000 as his share of goodwill premium. He agreed to contribute capital in new profit-sharing ratio. The amount of capital brought by Sahil was

- (a) 40,000. (b) 32,000.
(c) 12,50,000. (d) ₹50,000. (CBSE 2023)

4. At the time of admission of a partner, The Balance Sheet of the firm showed a Workmen Compensation Reserve of ₹ 80,000. The claim for workmen compensation was estimated at 1,00,000. The shortfall of 20,000 will be

- (a) debited to Revaluation Account. (b) credited to Revaluation Account.
(c) debited to Partners' Capital Accounts. (d) credited to Partners' Capital Accounts. (CBSE 2024)

5. Rohit, Virat and Shikhar were partners sharing profits and losses in the ratio 3 : 1 : 1. Their Capital balances as on March 31, 2024 were ₹3,00,000; ₹2,70,000 and ₹ 2,50,000 respectively. On the same date, they admitted Hardik as a new partner for 20% share. Hardik was to bring ₹80,000 for his share of goodwill and $\frac{1}{5}$ of the combined capital of all the partners of new firm. What will be the total amount brought in by Hardik on his admission as a new partner?

- (a) 2,25,000. (b) ₹1,80,000.
(c) ₹2,60,000. (d) ₹3,05,000.

(CBSE Sample Question Paper 2025)

RETIREMENT/DEATH OF A PARTNER

Retirement Of A Partner

1. Gopal, Krishna and Govind were partners sharing profits and losses in the ratio of 5: 4:3. Krishna retired on 1st April, 2022. Gopal and Govind purchased his share of profit by giving him ₹1,20,000. ₹ 80,000 was paid by Gopal and ₹ 40,000 by Govind. Gaining ratio is

- (a) 1:2. (b) 5:3.
(c) 1:1. (d) 2:1.

(CBSE 2023)

2. G, S and T were partners sharing profits in the ratio 3 : 2 : 1. G retired and his dues towards the firm including capital balance, accumulated profits and losses share, revaluation gain amounted to ₹5,80,000. G was being paid ₹7,00,000 in full settlement. For giving that additional amount of ₹1,20,000, S was debited for 40,000. Determine goodwill of the firm.

- (a) 1,20,000 (b) ₹80,000
(c) 2,40,000 (d) ₹3,60,000

3. Gurpreet, Vishal and Ananya are partners in a firm sharing profits in the ratio of 2:3:1. Vishal retires and balance in his Capital Account after making necessary adjustments on account of reserves, revaluation of assets and reassessment of liabilities is ₹1,20,000. Gurpreet and Ananya agreed to pay him ₹1,80,000 in full settlement of his claim.

Vishali's share of goodwill of the firm on his retirement is

- (a) 1,20,000. (b) ₹60,000.
(c) ₹30,000. (d) 15,000.

(CBSE 2023)

Death of a Partner

1. P, Q and R were partners in a firm sharing profits and losses in the ratio of 4: 3:1. P died on 1st September, 2022. On the date of P's death, the profits of the firm were calculated as 80,000. P's share of profit will be adjusted by

- (a) Debiting Profit and Loss Account with 40,000.
(b) Debiting Profit and Loss Appropriation Account by ₹ 40,000.
(c) Debiting Profit and Loss Suspense Account with 80,000.
(d) Debiting Profit and Loss Suspense Account with ₹40,000.

(CBSE 2023)

2. Aditi, Sukriti and Niti were partners sharing profits in the ratio of 2:2:1. Sukriti died on 30th June, 2023. Net profit for the year ended 31st March, 2023 was 4,50,000. If the deceased partner's share of profit is to be calculated on the basis of previous year's profit, the amount of profit credited to Sukriti's Capital Account will be

- (a) ₹90,000. (b) ₹45,000.
(c) ₹1,80,000 (d) ₹1,12,500.

(CBSE 2024)

DISSOLUTION OF FIRM

Dissolution Of a Partner

1. Rama, a partner took over Machinery of 50,000 in full settlement of her Loan of 60,000. Machinery was already transferred to Realisation Account. How it will affect the Realisation Account?

- (a) Realisation Account will be credited by ₹ 60,000.
- (b) Realisation Account will be credited by ₹ 10,000.
- (c) Realisation Account will be credited by ₹ 50,000.
- (d) No effect on Realisation Account.

(CBSE Sample Question Paper 2025)

2. Total assets of a partnership firm, which was dissolved were 30,00,000 and its total liabilities were 6,00,000. Assets were realised at 80% and liabilities were settled at 5% less. If dissolution expenses were 30,000, the profit or loss on dissolution was

- (a) Profit 18,00,000.
- (b) Loss 6,00,000.
- (c) Profit 6,00,000.
- (d) Loss 18,00,000.

(CBSE 2023)

3. On dissolution of the firm of Ramesh, Suresh and Naresh, Naresh had agreed to bear all realisation expenses for which he was paid 14,500. Actual expenses on realisation amounted to ₹ 11,000 which were paid by Naresh. The amount to be credited to Naresh's Capital Account will be

- (a) ₹11,000.
- (b) 3,500.
- (c) ₹14,500.
- (d) ₹25,500,

(CBSE 2023)

4. Dada, Yuvi and Viru were partners sharing profits and losses in the ratio 3:2:1. Their books showed Workmen Compensation Reserve of ₹ 1,00,000. Workmen Claim amounted to 60,000. How it will affect the books of Accounts at the time of dissolution of firm?

- (a) Only 40,000 will be distributed amongst partners' capital accounts.
- (b) 1,00,000 will be credited to Realisation Account and 60,000 will be paid off.
- (c) 60,000 will be credited to Realisation Account and will be even paid off. Balance 40,000 will be distributed amongst partners.
- (d) Only 60,000 will be credited to Realisation Account and will be even paid off.

(CBSE Sample Question Paper 2025)

5. Aditya, Abhinav and Ankit were partners in a firm sharing profits in the ratio of 4:3:3. On 31st March, 2022, the firm was dissolved. Aditya was appointed to complete the dissolution process for which he was allowed remuneration of 42,000. Aditya also agreed to bear dissolution expenses. Actual expenses on dissolution amounted to 33,000 which were paid by Aditya. Aditya's Capital Account will be credited by

- (a) 42,000.
- (b) 33,000.
- (c) ₹9,000,
- (d) 18,000.

(CBSE 2023)

SHARE CAPITAL

Share Capital

1. Nominal/Authorised Share Capital is

- (a) that part of the share capital which is issued by the company.
- (b) the amount of share capital which is actually applied for by the prospective shareholders
- (c) the maximum amount of share capital which a company is authorised to issue.
- (d) the amount actually paid by the shareholders.

(CBSE 2024)

2. Santiago Ltd. invited applications for issuing 2,00,000 shares of 10 each payable 3 per share on application, 5 per share on allotment and 2 per share on first and final call. The issue was oversubscribed and the company received 9,60,000 as application money. The company rejected some applications and pro rata allotment was made to the remaining applicants in the ratio of 5: 4. Applications for how many shares were rejected?

- (a) 50,000
- (b) 1,30,000
- (c) 70,000
- (d) 1,20,000

(CBSE 2022)

3. Alfa Ltd. invited applications for 50,000 Equity Shares of 10 each at a premium of 30%. The whole amount was payable on application. Applications were received for 2,50,000 shares. The company decided to allot the shares on a pro rata basis to all the applicants. The amount refunded by the company was

- (a) 32,50,000.
- (b) ₹15,60,000,
- (c) ₹39,00,000.
- (d) 26,00,000

(CBSE 2024)

4. Manmohan Ltd. invited applications for issuing 50,000 Equity Shares of 10 each at par. The amount payable per share was as follows:

On application 3; on allotment 4 and on first and final call 3.

Applications were received for 1,45,000 Equity Shares. Applications for 20,000 Equity Shares were rejected and remaining applicants were allotted shares on a pro rata basis. Excess application money received with applications was adjusted towards sums due on allotment and first and final call. Amount credited to Calls-in-Advance Account was

- (a) 2,25,000.
- (b) 25,000.
- (c) 1,75,000.
- (d) Nil.

(CBSE 2023)

5. Which of the following statement is correct regarding Subscribed Capital?

- (a) It is the amount of share capital which a company is authorised to issue by its Memorandum of Association.
- (b) It is that part of authorised capital which is actually issued to the public for subscription.
- (c) It is that part of the issued capital which has been actually subscribed by the public.
- (d) It is that part of the called-up capital which has been actually received from shareholders.

(CBSE 2023)

DEBENTURES

Debentures

1. Diksha Ltd. issued 4,000, 9% Debentures of ₹ 100 each at a discount of 10%, redeemable at a premium. 'Discount on Issue of Debentures' and 'Premium on Redemption of Debentures' were accounted for through 'Loss on Issue of Debentures Account'. If the amount of 'Loss on Issue of Debentures Account' was 60,000, then the amount of premium on redemption was

- (a) ₹60,000. (b) ₹40,000.
(c) 20,000. (d) ₹80,000.

(CBSE 2023)

2. Sujata Ltd. issued 5,000, 7% Debentures of 100 each at a premium of 10%. According to the terms of issue, 40% of the amount was payable on application and the balance on allotment. The issue was fully subscribed and all amounts were duly received. The amounts received on application and allotment respectively were

- (a) 2,50,000 and ₹ 3,00,000. (b) 2,00,000 and 3,00,000.
(c) 2,00,000 and 3,50,000. (d) 2,00,000 and ₹ 2,50,000.

(CBSE 2023)

3. On 1st April 2022, Galaxy Ltd. had a balance of 8,00,000 in Securities Premium Account. During the year, company issued 20,000 Equity Shares of 10 each as bonus shares and used the balance amount to write off Loss on Issue of Debentures on account of issue of 2,00,000, 9% Debentures of 100 each at a discount of 10% redeemable @5% premium. The amount to be charged to Statement of Profit & Loss for the year for loss on issue of debentures would be

- (a) ₹30,00,000. (b) ₹22,00,000.
(c) 24,00,000. (d) ₹20,00,000.

(CBSE Sample Question Paper 2024)

SHARE CAPITAL(CONTINUE..)

6. If 10,000 shares of 10 each were forfeited for non-payment of final call money of 3 per share and only 7,000 shares were re-issued 11 per share as fully paid-up, then what is the amount of maximum possible discount that company can allow at the time of re-issue of the remaining 3,000 shares?

- (a) 28,000 (b) ₹21,000
(c) ₹9,000 (d) 16,000

(CBSE Sample Question Paper 2023)

7. Assertion (A): A company is registered with an authorised capital of 5,00,000 Equity Shares of 10 each of which 2,00,000 Equity Shares were issued and subscribed. All the money had been called-up except 2 per share which was declared as 'Reserve Capital'. The share capital reflected in Balance Sheet as 'Subscribed and Fully Paid-up' will be zero.

Reason (R): Reserve Capital can be called-up only at the time of winding-up of the company.

In the context of above two statements, which of the following is correct?

- (a) Both Assertion (A) and Reason (R) are correct and Reason (R) is the correct explanation of Assertion (A).
(b) Both Assertion (A) and Reason (R) are correct but Reason (R) is not the correct explanation of Assertion (A).
(c) Assertion (A) is incorrect but Reason (R) is correct.
(d) Assertion (A) is correct but Reason (R) is incorrect.

(CBSE Sample Question Paper 2024)

CASH FLOW STATEMENT

Cash Flow Statements

1. From the following information, find out the inflow of Cash by sale of Office Equipment:

	31st March, 2022	31st March, 2021
Office Equipment	₹2,00,000	3,00,000

Additional Information:

Depreciation for the year 2021-22 was ₹ 40,000.

Office Equipment purchased during the year ₹ 30,000.

Part of Office Equipment sold at a profit of 12,000.

(a) ₹ 1,00,000

(b) ₹ 1,02,000

(c) 90,000

(d) 1,12,000

(CBSE SQP 2023)

2. Statement I: 'Issue of fully paid bonus shares out of Securities Premium Account will result in inflow of cash.

Statement II: 'Cash withdrawn from bank' will result in inflow of cash.

In the context of the above two statements, choose the correct option:

(a) Both Statement I and Statement II are correct.

(b) Both Statement I and Statement II are incorrect.

(c) Statement I is correct and Statement II is incorrect.

(d) Statement I is incorrect and Statement II is correct.

(CBSE 2024)

3. Statement I: Sale of Marketable Securities will result in no flow of cash.

Statement II: Debentures issued as collateral security will result in inflow of cash.

(a) Both Statements are correct.

(b) Both Statements are incorrect.

(c) Statement I is correct and Statement II is incorrect.

(d) Statement I is incorrect and Statement II is correct.

(CBSE SQP 2024)

CASH FLOW STATEMENT(CONT..)

4. Aditya Sunrise Ltd. provides you the following information:

Particulars	31st March, 2023 (₹)	31st March, 2022 (₹)
10% Bank Loan	Nil	1,00,000

Additional Information:

1. Equity share capital raised during the year 3,00,000;
2. 10% bank loan was repaid on 1st April, 2022.
3. Dividend received during the year was 20,000.
4. Dividend proposed for the year 2021-22 was ₹50,000 but only 20,000 was approved by the shareholders.

Find out the Cash Flow from Financing Activities.

- | | |
|---------------|----------------|
| (a) 1,50,000 | (b) 2,00,000 |
| (c) ₹1,70,000 | (d) ₹ 1,80,000 |

(CBSE SQP 2024)

5. Which of the following statements is incorrect?

- (a) Investment in shares are excluded from cash equivalents unless they are in substantial cash equivalents.
- (b) Short-term marketable securities which can be readily converted into cash are treated as cash equivalents.
- (c) In case of a financial enterprise, interest received and dividend received are classified as operating activities while dividend paid and interest paid are financing activities.
- (d) Dividend tax, i.e., tax paid on dividend should be classified as financing activity along with dividend paid.

(CBSE SQP 2025)

6. Statement I: 'Shree Ltd. was carrying on a business of packaging in Delhi and earned good profits in the past years. The company wanted to expand its business and required additional funds. To meet its requirements, the company issued equity shares of ₹30,00,000. It purchased a computerised machine of ₹20,00,000. During the current year, the Net Profit of the company was ₹15,00,000. Cash flows from operating, investing and financing activities from the above transactions will be ₹15,00,000; (₹ 20,00,000); 30,00,000 respectively. Statement II: The patents of X Ltd. increased from ₹3,00,000 in 2021-22 to ₹ 3,50,000 in 2022-23. It will be taken as purchase of Patents of 50,000 and will be shown under Cash Outflow from Investing Activities.

- (a) Both the statements are true.
- (b) Both the statements are false.
- (c) Only Statement I is true.
- (d) Only Statement II is true.

(CBSE SQP 2025)

ACCOUNTING RATIOS

Accounting Ratios

1. During the year ended 31st March, 2022, Shradha Ltd. earned net profit of ₹ 15,00,000 before interest and tax. The company has a 10% long-term debt of ₹ 50,00,000. The tax rate is 40%. The Interest Coverage Ratio of the company will be

- (a) 2 times. (b) 3 times.
(c) 1.2 times. (d) 1.5 times.

(CBSE 2023)

2. The Debt-Equity Ratio of a company is 3 : 2. Which of the following transactions will result in increase in this ratio?

- (a) Purchase of goods on credit. (b) Issue of Debentures.
(c) Issue of Equity Shares. (d) Cash received from Debtors.

(CBSE 2024)

3. Which one of the following is correct?

- (i) Quick Ratio can be more than Current Ratio.
(ii) High Inventory Turnover Ratio is good for the organisation, except when goods are bought in small lots or sold quickly at low margins to realise cash.
(iii) Sum of Operating Ratio and Operating Profit Ratio is always 100%.

- (a) All are correct. (b) Only (i) and (iii) are correct.
(c) Only (ii) and (iii) are correct. (d) Only (i) and (ii) are correct.

(CBSE SQP 2023)

4. Which one of the following statements is incorrect?

- (a) Liquidity Ratios are calculated to measure the short-term solvency of the business.
(b) Current Ratio is also known as Acid Test Ratio.
(c) Solvency Ratios are calculated to determine the ability of the business to service its debt in the long-run.
(d) Proprietary Ratio expresses the relationship of proprietor's funds to net assets/total assets.

(CBSE 2023)

5. As on 31st March, 2024, the following information of Bartan Manufacturing Ltd. is available:

Net Profit Ratio	40%
Operating Profit Ratio	50%

On 1st April, 2024, it came to notice that the accountant had omitted recording the interest received on investment of ₹2,00,000 for the financial year 2023-24. The required rectification was done. What will be the effect of the same on Net Profit and Operating Profit Ratio?

- (a) Net Profit Ratio will increase and Operating Profit Ratio will decrease.
(b) Both Net Profit Ratio and Operating Profit Ratio will increase.
(c) Net Profit Ratio will increase and Operating Profit Ratio will have no change.
(d) Net Profit Ratio will remain same and Operating Profit Ratio will increase

(CBSE SQP 2025)

6. Which of the following statement is/are correct?

- (i) Quick Ratio is considered better than Current Ratio as a measure of liquidity position of business.
(ii) Debt-Equity Ratio measures short-term solvency of the business.
(iii) Interest Coverage Ratio reveals the number of times interest on long-term debts is covered by the profit available for interest.

- (a) All are correct. (b) (i) and (iii) are correct.
(c) (ii) and (iii) are correct. (d) (i) and (ii) are correct.

(CBSE 2023)

Profit and loss A/c

Particulars	Amount	Particulars	Amount
To salary to Employee	xxx	By Gross profit	XXXXXX
To interest on partner's loan	xxx	By Loss transferred to P/L App	XXXX
To Rent paid to partner's	xxx		
To Manger commission	xxx		
To profit transferred to P/L App	XXXX		

Charge against profit /revenue

Charge against profit and loss App

Profit and loss Appropriation A/c

Particulars	Amount	Particulars	Amount
To Net Loss (if any)	XXXX	By Net Profit	XXXX
To General Reserves	XXXX	By Interest on drawings	XXXX
To Partner Salary	XXXX		
To Interest On Capital	XXXX		
To Partners Commission	XXXX		
To Profit transferred to Partners capital if any	XXXX		
	XXXXXX		XXXXXX

Fluctuating capital

Partners Capital A/c

Particulars	A	B	Particulars	A	B
To Bank (withdrawn)	XXXXXX	XXXXXX	By Bank	XXXXXX	XXXXXX
To Drawing	XXX	XXX	By Bank (additions)		XXXX
To interest Drawing	XXX	XXX	By Salary	XXXX	XXX
			By Interest on cap	XXXX	XXX
To balance c/d	XXX	XXX	By Commission	XXXX	XXXXXX
			By P/L App	XXXXXX	XXXX
	XXXXXX	XXXXXX		XXX	XXXX

Calculation of opening capital

Particulars	A	B
Closing capital	XXXXXXXX	XXXXXXXX
Less:- share of profit	XXXXXXXX	XXXXXXXX
Add Drawing during year	XXXXXXXX	XXXXXXXX
Less :- Additional Capital		XXXXXXXX
Opening capital	XXXXXXXX	XXXXXXXX

Dr.		Performa of Revaluation A/c		Cr.	
Particulars		Amount	Particulars	Amount	
To Decrease in value of Assets		XX	By increase in value of assets	XX	
To Increase in the value of Liabilities.		XX	By decrease in value of Liability	XX	
To Unrecorded Liabilities.		XX	By Unrecorded Assets.	XX	
To Profit transferred to partner's Capital account (in old ratio)		XX	By Loss transferred to partner's Capital account (in old ratio)	XX	

Format of deceased partners capital A/c

Partners capital A/c

Particulars	Amount	Particulars	Amount
To Goodwill		By Balance b/d	
To Revaluation		By Workmen Comp Fund	
To Profit and loss		By Reserves	
To Drawings		By Profit and loss (Cr)	
To Interest on drawing		By Revaluation (profit)	
To Executer A/c (balancing figure)		By Interest On Capital	
		By Profit and loss suspense	
		By A's capital	
		By B's capital	

Balance transferred
to Executer A/c

Realization A/c

Particulars	Amount	particulars	Amount
To Sundry assets Excluding cash. Bank, Dr balance partners capital A/c, loan to partners		By Sundry Liability (excluding partners loan, partner capital , accumulated profits, bank loan)	
		By Reserves Against Assets •Depreciation Fund •Joint Life Policy Fund •Provision for doubtful debts •Investment Fluctuation Fund	
To partners capital A/c (paid by partner) To bank (if paid by firm)		By partners capital A/c (taken by partner) By bank (if sold)	
To partners capital A/c (profit on realization (in any)		By partners capital A/c (Loss on realization (in any)	

Notes To Accounts

Particulars	Amount
Share Capital Authorized CapitalShares of each	X <u>X</u> <u>X</u> <u>X</u>
Issued CapitalShares ofeach	X <u>X</u> <u>X</u> <u>X</u>
Subscribed Capital Subscribed and fully paid upShares of each	X <u>X</u> <u>X</u> <u>X</u>
Subscribed but not fully paid up ...Shares of each.....	
Less -calls-in-Arrear (If/any) X <u>X</u> <u>X</u> <u>X</u>	
Add -shares Forfeiture/c X <u>X</u> <u>X</u> <u>X</u>	X <u>X</u> <u>X</u> <u>X</u>

Particulars	Note No.	Figures as at the end of current reporting period	Figures as at the end of the previous reporting period
1	2	3	4
Equity And Liabilities 1. Shareholders funds a) Share capital b) Reserves and Surplus c) Money received against share warrants 2. Share application money pending allotment 3. Non-Current Liabilities a) Long-term borrowings b) Deferred tax liabilities (Net) c) Other Long term liabilities d) Long-term provisions 4. Current Liabilities a) Short-term borrowings b) Trade payables c) Other current liabilities d) Short-term provisions TOTAL			

Major headings

Particulars	Note No.	Figures as at the end of current reporting period	Figures as at the end of the previous reporting period
1	2	3	4
Equity And Liabilities 1. Shareholders funds a) Share capital b) Reserves and Surplus c) Money received against share warrants 2. Share application money pending allotment 3. Non-Current Liabilities a) Long-term borrowings b) Deferred tax liabilities (Net) c) Other Long term liabilities d) Long-term provisions 4. Current Liabilities a) Short-term borrowings b) Trade payables c) Other current liabilities d) Short-term provisions			
TOTAL			

Format Of comparative statement Balance Sheet (assets Side)

Particulars	Note No.	2010-11	2011-12	Absolute Change (Increase/Decrease)	% (Increase/Decrease)
		A	B	C=(B-A)	
ASSETS					
1. Non-Current Assets					
a) Fixed Assets					
a) Tangible assets					
b) Intangible assets					
b) Non-current investments					
c) Long-term loans and advances					
2. Current Assets					
a) Current investments					
b) Inventories					
c) Trade receivables					
d) Cash and cash equivalents					
e) Short-term loans and advances					
f) Other current assets					
Total					

Format Of comparative statement of profit and loss account

Particulars	Note No.	Absolute Amount		Change (Base Year 2011)	
		31 st March 2010-2011	31 st March, 2011-2012	Absolute Change (Increase/Decrease)	% (increase/Decrease)
I. Revenue from Operations					
II. Other Income					
Total Revenue (I + II)					
Expense					
➤ Cost of Materials Consumed					
➤ Employees Benefits Expenses					
➤ Finance Costs					
➤ Depreciation and Amortization Expenses					
Total Expenses					
Profit before tax					
TAX					
Profit after tax					

Format Of Common-size Balance Sheet (Liability Side)

Particulars	Note No.	Absolute Amounts		Percentage of Balance Sheet Total	
		31 st March 2013	31 st March, 2014	31 st March 2013	31 st March, 2014
Equity And Liabilities					
1. Shareholders funds					
a) Share capital					
b) Reserves and Surplus					
2. Non-Current Liabilities					
a) Long-term borrowings					
b) Long-term provisions					
3. Current Liabilities					
a) Short-term borrowings					
b) Trade payables					
c) Other current liabilities					
d) Short-term provisions					
Total				100	100

Format Of Common-size statement of profit and loss account

Particulars	Note No.	Absolute Amount		Percentage of Revenue from Operations	
		31 st March 2013	31 st March, 2014	31 st March 2013	31 st March, 2014
Revenue from Operations				100	100
Other Income					
Total income					
Expenses > Cost of Materials Consumed > Employees Benefits Expenses > Finance Costs > Depreciation and Amortization Expenses > Other Expenses					
Total Expenses					
Profit before tax					

Format Of from operating activities

Particulars	Amount
A. Cash Flows from Operating Activities	
Net Profit before Tax (see note No. 1)	
Adjustments for non cash and non operating items:	
Add:	
• Depreciation	
• Preliminary Expenses/Discount on issue of Share and Deb written off	
• Goodwill, Patents and Trademarks amortized	
• Interest on long-term borrowings	
• Loss on Sale of Fixed Assets	
Less:	
• Interest Income	
• Dividend Income	
• Rental Income	
• Profit on sale of Fixed Assets	
Operating Profit before Working Capital Changes	
Add: Decrease in current Assets ,Increase in Current Liabilities	
Less: Increase in current Assets. Decrease in Current Liabilities	
Cash Generated from operations	
Less: Income Tax Paid (Previous year)	
Net Cash Flows from/Used in operating activities	

Particulars	Amount
B. Cash Flows from Investing Activities	
•Proceeds from Sale of Tangible Fixed Assets	
•Proceeds from Sale of intangible Fixed Assets	
•Proceeds from Sale of Non-Current Investments	
•Interest and Dividend received, Rent received	
•Purchase of Tangible Fixed Assets	
•Purchase of intangible Fixed Assets like goodwill	
•Purchase of Non-Current Investments	
Net Cash from (or used) in Investing Activities	

C. Cash Flows from Financing Activities

- Proceeds from issue of Shares and Debentures
- Proceeds from Long-term Borrowings
- Final Dividend Paid , Interim Dividend Paid
- Interest on Long-term borrowings paid
- Repayment of Loan , - Redemption of Debentures

Net Cash from (or used) in financing Activities

Examples of Cash Inflows from Financing Activities: (i) Cash proceeds from issuing shares (equity or/and preference) (ii) Cash proceeds from issuing debentures, loans, bonds and other short-term borrowings/long-term borrowings.

Examples of Cash Outflows from Financing Activities: (i) Cash repayments of amounts borrowed, e.g. redemption of debentures or preference shares, buy back of equity shares, repayment of long-term debts, etc. (ii) Interest paid on debentures and long-term debts (iii) Dividends paid (both final dividend and interim dividend)

➤ Treatment of Some Peculiar Items

1. **Extraordinary items:** Extraordinary items are not the regular phenomenon, i.e. non-recurring in nature. Examples: (i) Loss due to theft or earthquake or flood (ii) Insurance proceeds from the famine settlement/ earthquake disaster settlement.

2. **Interest and Dividend:** *In case of a non-financial enterprise:* (i) Payment of interest and dividends are classified as cash outflows from financing activities. (ii) Receipt of interest and dividends are classified cash inflows from investing activities.

In case of a financial enterprise (whose main business is lending and borrowing): (i) Interest paid, interest received and dividend received are classified as operating activities. (ii) Dividend paid is a cash outflow from financing activities.

➤ Taxes – Treatment in Cash Flow Statement

S. No.	Types of Taxes	Classification of Activities
1.	Income tax (i.e. tax on normal profit/operating profit)	Cash outflow from operating activities
2.	Capital gains tax (i.e. tax on capital profits e.g. gain on sale of land and building)	Cash outflow from investing activities
3.	Dividend tax (i.e. tax on the amount distributed as dividend to shareholders)	Cash outflow from financing activities

➤ Non-Cash Transactions: As per AS-3, investing and financing transactions that do not require the use of cash or cash equivalents are termed as non-cash transactions. They should be excluded from a cash flow statement since there is no inflow or outflow of cash and cash equivalents. *Examples of non-cash transactions:* (i) Issue of shares or debentures to the vendors for the purchase of fixed assets (ii) Redemption of debentures by converting them into equity shares (iii) Issue of fully paid bonus shares.

- An enterprise may hold securities and loans for dealing or for trading purposes. In either case they represent 'Inventory' specifically held for resale. Therefore, cash flows arising from the purchase and sale of dealing or trading securities are classified as operating activities.
- Cash advances and loans made by financial enterprises (whose main business is lending and borrowings) are usually classified as operating activities since they relate to main activity of that enterprise.
- A transaction may include cash flows that are classified differently. For example, when the instalment paid in respect of a fixed asset acquired on deferred payment basis includes both interest and loan, the interest element is classified under financing activities and the loan element is classified under investing activities.
- Same activity may be classified differently for different enterprises. For example, purchase of shares is an operating activity for a share brokerage firm (an investment company) while it is investing activity in case of other enterprises.
- *Examples of activities which are an investing activity for every type of enterprise:* Purchase of Goodwill, Purchase of Fixed assets, Sale of fixed assets
- *Examples of activities which are a financing investing activity for every type of enterprise:* Dividends paid, Issue of Shares, Redemption of Preference shares, Buy Back of shares, Issue of Debentures, Redemption of Debentures, Obtaining Long Term Loans, Repayment of long term loans

Accountancy XII - Formats of Journal and Ledger

Chapter 1: Financial Statements of Not-for-Profit Organizations

➤ Treatment of Membership Subscriptions

Dr.	Subscription Account		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d (<i>outstanding at the beginning</i>)	xxx	By Balance b/d (<i>opening advance subscription</i>)	xxx
To Income and Expenditure A/c (<i>Bal. Fig.</i>)	xxx	By Receipt and Payment A/c (<i>total subscription received</i>)	xxx
To Balance c/d (<i>closing advance subscription</i>)	xxx	By Balance c/d (<i>outstanding at the end</i>)	xxx
	xxxx		xxxx

➤ Treatment of Expenses (e.g. Salary, Rent, etc.)

Particulars	Amount (₹)
Expenses paid during the year (as per Receipts and Payment A/c)	xxx
Less: Opening outstanding expenses	(xxx)
Add: Closing outstanding expenses	xxx
Add: Opening prepaid/advance expenses	xxx
Less: Closing prepaid/advance expenses	(xxx)
Expenses to be shown in Income and Expenditure A/c	xxxx

➤ **Special Funds** (e.g. match fund, sports fund, building fund, etc.)

Balance Sheet (an extract)

Liabilities	Amount (₹)	Assets	Amount (₹)
<u>Match Fund</u>		x% Match Fund Investment	xxx
Opening balance	xxx	Accrued interest on match fund investment	xxx
Add: Income (interest) from match fund investment received	xxx		
Add: Accrued income (interest) on match fund investment	xxx		
Add: Donation for match fund	xxx		
Add: Sale of match tickets	xxx		
Less: Match Expenses	(xxx)		
	xxxx		

➤ **Preparation of Receipt and Payment Account**

Receipt and Payment Account for the year ending

Receipts	Amount (₹)	Payments	Amount (₹)
To Balance b/d		<i>By Balance b/d (Bank overdraft)*</i>	xxx
Cash in Hand	xxx	By Wages and Salaries	xxx
Cash at Bank*	xxx	By Rent	xxx
To Subscriptions from members	xxx	By Rates and Taxes (e.g. Municipal Taxes)	xxx
To General Donations	xxx	By Electricity and Water charges	xxx
To Entrance fees/Admission fees	xxx	By Miscellaneous Expenses	xxx
To Sale of old newspapers/periodicals/waste papers	xxx	By Insurance Premium	xxx
To Sale of old sports materials	xxx	By Sports Materials	xxx
To Interest on fixed deposits with banks/Interest on Bank Deposits	xxx	By Printing and Stationery	xxx
To Interest/Dividend on general investments	xxx	By Postage and courier charges	xxx
To Locker Rent/Rent received	xxx	By Advertisement	xxx
To Sale of scraps	xxx	By Sundry expenses	xxx
To Proceeds from charity show	xxx	By Telephone charges	xxx
To Miscellaneous receipts	xxx	By Entertainment expenses	xxx
To Grants-in-aid	xxx	By Audit fees	xxx
To Legacies	xxx	By Honorarium	xxx
To Life membership fees	xxx	By Repairs and Renewals	xxx
To Specific Donations e.g. Donation for Gym	xxx	By Upkeep of ground	xxx
To Sale of Investments	xxx	By Charity	xxx
To Sale of Fixed Assets	xxx	By Conveyance charges	xxx
To Receipts on account of specific funds	xxx	By Newspapers	xxx
To Interest/Dividend on specific funds investments	xxx	By Subscription for Periodicals/Magazines	xxx
<i>To Balance c/d (Bank Overdraft)*</i>	xxx	By x% Fixed Deposits with Banks	xxx
		By Purchases of Assets e.g. Machinery, Computers, etc.	xxx
		By Purchase of Investments	xxx
		By Balance c/d	
		Cash in hand	xxx
		Cash at Bank*	xxx
	xxxxx		xxxxx

➤ **Preparation of Income and Expenditure Account**

Income and Expenditure Account for the year ending

Expenditure	Amount (₹)	Income	Amount (₹)
To Charities	xxx	By Interest on General Fund Investment	xxx
To Tournament Expenses (<i>if there is no tournament fund</i>)	xxx	By Fees or Profit from Entertainment	xxx
To Salaries and Wages	xxx	By Subscription	xxx
To Consumables	xxx	By Entrance Fees/Admission Fees	xxx
To Rent, Rates and Taxes	xxx	By Interest/Income from Investment	xxx
To Postage, Stamps, Courier charges	xxx	(<i>e.g. Interest on Govt. Bonds/Defence Bonds,</i>	xxx
To Telephone/Electricity charges	xxx	<i>Interest on Fixed Deposits with banks)</i>	xxx
To Advertising	xxx	By Miscellaneous Receipts	xxx
To Sundry (or miscellaneous) expenses	xxx	By Locker Rent	xxx
To Entertainment expenses	xxx	By Hall Rent/Hire of ground for marriage	xxx
To Upkeep of field and pavilion, Grass seeds, etc.	xxx	By General Donation	xxx
To Depreciation on fixed assets	xxx	By Sale of old sports material, old newspapers,	xxx
To Fixed assets destroyed	xxx	old magazines, old periodicals, waste-paper scraps	
To Loss on sale of fixed assets	xxx	By Profit on sale of assets/old assets	

To Loss on sale of investment	xxx	By Govt. grants in aid (of recurring nature) (e.g. cash subsidy from government)	xxx
To Insurance Premium	xxx	By Sale of food stuff (Refreshment Revenue)	xxx
To General expenses (e.g. help to needy students)	xxx	Less: Purchase of food stuff (Refreshment Expenses)	
To Charity Show expenses	xxx	By Profit on Sports	xxx
Less: Charity Show Receipts		By Receipts from Charity Show	xxx
(If charity show expenses exceed receipts)		Less: Charity show Expenses	
To Conveyance/Travelling expenses	xxx	(If charity show receipts exceed expenses)	
To Honorarium (e.g. payment to an artist, lecturer's fees)	xxx	By Deficit (Excess of expenditure over income)	xxx
To Subscription paid for periodicals, magazines, newspapers	xxx		
To Audit Fees/Tuition fees/Meeting expenses	xxx		
To Office expenses	xxx		
To Repairs and Renewals	xxx		
To Expenses on Nukar Drama	xxx		
To Interest paid on Loan	xxx		
To Surplus (Excess of income over expenditure)	xxx		
	xxxxx		xxxxx

➤ Preparation of Balance Sheet

Balance Sheet of as on

Liabilities	Amount (₹)	Assets	Amount (₹)
• Capital fund/General Fund - Opening Balance xxx - Add: Surplus (or Less: Deficit) xxx - Add: Legacies xxx - Add: Life Membership Fees xxx - Add: Entrance Fees (Capitalised portion) xxx • Special Fund (e.g. match fund) xxx • Specific Donations (e.g. for Billiards Table) xxx • Endowment Fund xxx • Loan xxx • Income Received in Advance (Locker rent advance) xxx • Outstanding Expenses xxx • Creditors for Consumables (e.g. Stationery) xxx • Subscription Received in Advance xxx • Bank Overdraft xxx		• Cash in hand and /or Cash at Bank xxx • Fixed Deposits with Banks xxx • Interest Accrued on Investments xxx • Interest Accrued on Bank Deposits xxx • Accrued Income (e.g. o/s locker rent) xxx • Playground xxx • Prepaid Expenses xxx • General Fund Investment xxx • Special Fund Investment xxx • Interest Accrued on Special Fund Investment xxx • Stock of Consumables (like Stationery) xxx • Advance Paid to Creditors/Suppliers of Consumables (like Stationery) xxx • Subscription Outstanding (Accrued) xxx • Fixed Assets (e.g. Building, Sports Equipment, Machinery, Furniture, Books, Billiards Table, TV set, etc.) - Opening Balance xxx - Add: Purchase during the year xxx - Less: Book Value of Sales during the year (xxx) - Less: Depreciation (xxx) xxx • Investments (e.g. x% Bonds or Govt. Papers, x% Defence Bonds, etc.) - Opening Balance xxx - Add: Purchases during the year xxx - Less: Sale during the year (xxx) xxx	
	xxxxx		xxxxx

Chapter 2: Accounting for Partnership Firms

➤ Maintenance of Capital Accounts of Partners

1. Fixed Capital Method

Dr.			Partner's Capital Account			Cr.	
Date	Particulars	Amount (₹)	Date	Particulars	Amount (₹)		
	To Bank A/c (withdrawal of capital)	xxx		By Balance b/d (opening balance)	xxx		
	To Balance c/d (closing balance)	xxx		By Bank A/c (additional capital)	xxx		
		xxx			xxx		

Dr. **Partner's Current Account** Cr.

Date	Particulars	Amount (₹)	Date	Particulars	Amount (₹)
	To Balance b/d (<i>Dr. opening balance</i>)	xxx		By Balance b/d (<i>Cr. opening balance</i>)	xxx
	To Bank A/c (<i>Drawings</i>)	xxx		By Interest on capital	xxx
	To Interest on drawings	xxx		By Salary	xxx
	To Profit & Loss A/c (<i>Share of loss</i>)	xxx		By Commission	xxx
	To Balance c/d (<i>Cr. closing balance</i>)	xxx		By Profit & Loss Appropriation A/c (<i>share of profit</i>)	xxx
				By Balance c/d (<i>Dr. closing balance</i>)	xxx
		xxx			xxx

2. Fluctuating Capital Method

Dr. **Partner's Capital Account** Cr.

Date	Particulars	Amount (₹)	Date	Particulars	Amount (₹)
	To Bank A/c (<i>withdrawal of capital</i>)	xxx		By Balance b/d	xxx
	To Bank A/c (<i>Drawings</i>)	xxx		By Bank (<i>fresh capital introduced</i>)	xxx
	To Interest on drawings	xxx		By Interest on capital	xxx
	To Profit and Loss A/c (<i>for share of loss</i>)	xxx		By Salary/Commission	xxx
	To Balance c/d	xxx		By Profit and Loss Appropriation A/c (<i>for share of profit</i>)	xxx
		xxx			xxx

➤ Distribution of Profit among Partners

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
1.	Transfer of the balance of Profit and Loss Account to Profit and Loss Appropriation Account			
(a)	<i>If Profit and Loss Account shows a credit balance (net profit):</i> Profit and Loss A/c Dr. To Profit and Loss Appropriation A/c			
	<i>If Profit and Loss Account shows a debit balance (net loss):</i> Profit and Loss Appropriation A/c Dr. To Profit and Loss A/c			
2.	Interest on Drawings			
(a)	<i>For charging interest on drawings to partners' capital/current A/cs:</i> Partners' Capital/Current A/cs (individually) Dr. To Interest on Drawings A/c			
(b)	<i>For transferring interest on drawings to Profit and Loss Appropriation A/c:</i> Interest on Drawings A/c Dr. To Profit and Loss Appropriation A/c			
3.	Interest on Capital			
(a)	<i>For crediting interest on capital to partners' capital/current A/cs:</i> Interest on Capital A/c Dr. To Partner's Capital/Current A/cs (individually)			
(b)	<i>For transferring interest on capital to Profit and Loss Appropriation A/c:</i> Profit and Loss Appropriation A/c Dr. To Interest on Capital A/c			
4.	Partner's Salary			
(a)	<i>For crediting salary to partner's capital/current A/cs:</i> Partner's Salary A/c Dr. To Partners' Capital/Current A/cs (individually)			
(b)	<i>For transferring salary to Profit and Loss Appropriation Account:</i> Profit and Loss Appropriation A/c Dr. To Partner's Salary A/c			
5.	Partner's Commission			
(a)	<i>For crediting commission to partners' capital/current A/cs:</i> Partner's Commission A/c Dr. To Partners' Capital/Current A/cs (individually)			
(b)	<i>For transferring commission to Profit and Loss Appropriation A/c:</i> Profit and Loss Appropriation A/c Dr. To Partner's Commission A/c			

6.	Transfer a proportion of net profit to General Reserve A/c Profit and Loss Appropriation A/c To General Reserve A/c	Dr.		
7.	Share of Profit or Loss after appropriations			
(a)	<i>For distribution of share of profit after appropriations in profit sharing ratio:</i> Profit and Loss Appropriation A/c To Partners' Capital/Current A/cs (individually)	Dr.		
(b)	<i>For distribution of share of loss after appropriations in profit sharing ratio:</i> Partners' Capital/Current A/cs (individually) To Profit and Loss Appropriation A/c	Dr.		

Dr.		Profit and Loss Appropriation A/c		Cr.	
Particulars	Amount (₹)	Particulars	Amount (₹)		
1. To Profit and Loss A/c (Net Loss)	xxx	1. By Profit and Loss A/c (Net Profit)	xxx		
3. To Interest on Capital (individually)	xxx	2. By Interest on Drawings (individually)	xxx		
4. To Partner's Salary (individually)	xxx	7. By Loss transferred to Partners' Capital/	xxx		
5. To Partner's Commission (individually)	xxx	Current A/c (individually in their profit			
6. To Transfer to General Reserve	xxx	sharing ratio)			
7. To Profits transferred to Partners' Capital/	xxx				
Current A/c (individually in their profit					
sharing ratio)					
	xxxx		xxxx		

Chapter 3: Goodwill, Admission of a New Partner and Change in Profit Sharing Ratio

➤ Treatment of Goodwill: New partner brings goodwill in cash

1. Goodwill (premium) paid through the firm which is retained in the business

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Cash/ Bank A/c To Premium for Goodwill A/c (Amount brought by new partner as premium)	Dr.		
	Premium for Goodwill A/c To Existing Partners' Capital A/c (Individually) (Goodwill distributed among the existing partners in their sacrificing ratio)	Dr.		

2. Goodwill (premium) brought by the new partner and the same withdrawn by the sacrificing partners fully or partly.

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Existing Partner's Capital A/c (Individually) To Cash/Bank A/c (Being amount of goodwill withdrawn by the existing partners)	Dr.		

3. When the new partner brings in his share of goodwill in cash and goodwill already exists in the Balance Sheet.

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Old Partners' Capital/Current A/c (individually) To Goodwill A/c (Being existing goodwill written-off in old ratio)	Dr.		

➤ Treatment of Goodwill: New partner does not bring goodwill premium

1. Goodwill Account is raised and written off at its full value.

A. When no goodwill exists in the books

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	(i) For raising goodwill at full value in the old ratio Goodwill A/c To Old Partners' Capital/Current A/cs (individually)	Dr.		
	(ii) For writing off goodwill at full value in the new ratio All Partners' Capital/Current A/cs (individually) To Goodwill A/c	Dr.		

B. When goodwill already exists in the books

(i) *When the value of goodwill appearing in the books is less than the valued goodwill*

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Goodwill A/c (<i>valued goodwill – existing goodwill</i>) Dr. To Old Partners' Capital/Current A/cs (<i>individually</i>) (Goodwill raised in old ratio)			
	All Partners' Capital/Current A/cs (<i>individually</i>) Dr. To Goodwill A/c (<i>valued goodwill</i>) (Goodwill written off in new ratio)			

(ii) *When the value of goodwill appearing in the books is more than the valued goodwill*

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Old Partners' Capital/Current A/c (<i>individually</i>) Dr. (<i>existing goodwill – valued goodwill</i>) To Goodwill A/c (Goodwill written off in old partners' accounts in old ratio)			
	All Partners' Capital/Current A/c (<i>individually</i>) Dr. To Goodwill A/c (<i>valued goodwill</i>) (Goodwill written off in new ratio)			

2. Goodwill is adjusted through Partners' Capital/Current Accounts

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	New Partner's Capital/Current A/c (<i>his share of goodwill</i>) Dr. To Old Partners' Capital/Current A/c (<i>individually</i>) (Goodwill adjusted through Old Partners' Capital/Current Accounts in their sacrificing ratio)		4,000	1,000 3,000

➤ **Adjustment for Accumulated Profits and Losses**

1. Accumulated Profits:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Reserve A/c/Profit and Loss A/c Dr. To Old Partners' Capital/Current A/cs (<i>individually</i>) (Being accumulated profits distributed in old profit sharing ratio)			

2. Accumulated Losses:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Old Partners' Capital/Current A/cs (<i>individually</i>) Dr. To Profit and Loss A/c (Being accumulated losses distributed in old profit sharing ratio)			

➤ **Revaluation of Assets and Reassessment of Liabilities**

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
1.	For increase in the value of an asset: Asset A/c (gain) Dr. To Revaluation A/c			
2.	For reduction in the value of a liability: Liability A/c (gain) Dr. To Revaluation A/c			
3.	For recording or selling an unrecorded asset: Unrecorded Asset A/c or Cash/Bank A/c Dr. To Revaluation A/c			

➤ **Change in Profit Sharing Ratio among the Existing Partners**

I Method: Adjustment of goodwill through partners' capital/current accounts

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Gaining Partner's Capital/Current A/c Dr. To Sacrificing Partner's Capital/Current A/c (Adjustment of goodwill made between partners due to change in profit sharing ratio)			

II Method: Raising goodwill at its full value in the old profit sharing ratio and then writing it off in the new ratio

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Goodwill A/c Dr. To Partner's Capital/Current A/c (<i>individually</i>) (Being goodwill raised at its full value in the old profit sharing ratio)			
	Partner's Capital/Current A/c (<i>individually</i>) Dr. To Goodwill A/c (Being goodwill written off at its full value in the new profit sharing ratio)			

Chapter 4: Reconstitution of a Partnership Firm: Retirement/Death of a Partner

➤ **Treatment of Goodwill**

I Method: Goodwill is raised at its full value and written off immediately

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For raising goodwill at its full value: Goodwill A/c Dr. To All Partners' Capital/Current A/cs (<i>individually</i>) (Being goodwill raised at full value and credited to all the partners in their old profit sharing ratio)			
	For writing off goodwill: Remaining Partners' Capital/Current A/cs (<i>individually</i>) Dr. To Goodwill A/c (Being goodwill written off and debited to remaining partners in the new ratio)			

II Method: Goodwill is adjusted directly through partners' capital/current accounts

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Continuing Partners' Capital/Current A/cs (<i>individually</i>) Dr. To Retiring/Deceased Partner's Capital A/c (Retiring/deceased compensated by the remaining partners in their gaining ratio)			

➤ **Adjustment of Accumulated Profits and Losses**

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For transfer of accumulated profits (reserves): Reserves A/c Dr. Profit and Loss A/c Dr. To All Partners' Capital/Current A/cs (<i>Individually</i>) (Being reserves/accumulated profits transferred to all partners' capital/current accounts in old profit sharing ratio)			
	For transfer of accumulated losses: All Partners' Capital/Current A/cs (<i>Individually</i>) Dr. To Profit and Loss A/c (Being accumulated loss transferred to all partners' capital/current accounts in their old profit-sharing ratio)			

➤ Disposal of Amount Due to Retiring Partner

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	When retiring partner is paid cash in full:			
	Retiring Partners' Capital A/c Dr. To Cash/Bank A/c			
	When retiring partner's whole amount is treated as loan:			
	Retiring Partner's Capital A/c Dr. To Retiring Partner's Loan A/c			
	When retiring partner is partly paid in cash and the remaining amount treated as loan:			
	Retiring Partner's Capital A/c (Total Amount due) Dr. To Cash/Bank A/c (Amount Paid) To Retiring Partner's Loan A/c (Amount of Loan)			
	When Loan account is settled by paying in installment includes principal and interest:			
	(a) For interest on loan			
	Interest A/c Dr. To Retiring Partner's Loan A/c			
	(b) For payment of installment			
	Retiring Partner's Loan A/c Dr. To Cash/Bank A/c			

Chapter 5: Dissolution of a Partnership Firm

➤ Preparation of Realisation Account

Dr.	Realisation Account		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)
1. To Sundry Assets (excluding cash, bank and the fictitious assets) transferred:		2. By External Liabilities (including provisions, if any) transferred:	
Land and Building	xxx	Sundry creditors	xxx
Plant and Machinery	xxx	Bills payables	xxx
Furniture and Fittings	xxx	Bank overdraft	xxx
Bills receivables	xxx	Outstanding expenses	xxx
Sundry debtors	xxx	Partner's relative's loan	xxx
5. To Cash/Bank (payment of liabilities)	xxx	Provision for doubtful debts	xxx
6. To Partner's Capital /Current A/c (liability assumed by the partner)	xxx	Provision for depreciation	xxx
7. (b) To Cash/Bank A/c (payment to creditor as amount due exceeds the agreed value of asset taken over)	xxx	Investment Fluctuation Fund	xxx
8. (a) To Cash/Bank A/c (payment of realisation expenses)	xxx	3. By Cash/Bank A/c (sale/realisation of assets)	xxx
(b) To Partner's Capital /Current A/c (realisation expenses paid by the partner)	xxx	4. By Partner's Capital /Current A/c (assets taken by the partner)	xxx
(c) (i) To Partner's Capital/Current A/c (remuneration/commission paid to the partner)	xxx	7. (c) By Cash/ Bank A/c (amount received from creditor as value of asset taken over exceeds the amount due)	xxx
10. To Cash/Bank A/c (payment of unrecorded liabilities)	xxx	9. By Cash/Bank A/c (sale of unrecorded assets including goodwill, if any)	xxx
11. (a) To Partner's Capital /Current A/c (individually) (Profit transferred to partners' capital / Current accounts in their profit sharing ratio)	xxx	11. (b) By Partner's Capital/ Current A/c (individually) (Loss transferred to partners' capital /Current accounts in their profit sharing ratio)	xxx
	xxxxx		xxxxx

➤ Journal Entries

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	1. For transfer of assets Realisation A/c (<i>Book value</i>) Dr. To Assets (Individually) A/c			
	2. For transfer of external liabilities including provisions, if any External Liabilities (individually) A/c (<i>Book value</i>) Dr. To Realisation A/c			
	3. For sale/realisation of assets Cash/Bank A/c (<i>realised amount</i>) Dr. To Realisation A/c			
	4. For an asset taken over by a partner Partner's Capital/Current A/c Dr. To Realisation A/c			
	5. For payment of liabilities Realisation A/c Dr. To Cash/Bank A/c			
	6. For a liability which a partner takes responsibility to discharge Realisation A/c Dr. To Partner's Capital/Current A/c			
	7. For settlement with the creditor through transfer of assets (a) <i>When a creditor accepts an asset in full and final settlement of his account:</i> No journal entry (b) <i>If the creditor accepts an asset only as part payment of his/her dues, the entry will be made for cash payment only.</i> Realisation A/c Dr. To Cash/Bank A/c (c) <i>When a creditor accepts an asset whose value is more than the amount due to him, he/she will pay cash to the firm for the difference.</i> Cash/Bank A/c Dr. To Realisation A/c			
	8. Realisation Expenses (a) <i>When realisation expenses are paid by the firm:</i> Realisation A/c Dr. To Cash/Bank A/c (b) <i>When realisation expenses are paid by a partner on behalf of the firm:</i> Realisation A/c Dr. To Partner's Capital/Current A/c (c) <i>When a partner has agreed to undertake the dissolution work for an agreed remuneration (e.g. commission) and bears the actual realisation expenses:</i> (i) <u>For agreed remuneration to such partner</u> Realisation A/c Dr. To Partner's Capital /Current A/c (ii) <u>For payment of realisation expenses</u> • <i>If the partner himself incurs/pays the realisation expenses:</i> No journal entry • <i>If payment of realisation expenses is made by the firm on behalf of the partner:</i> Partner's Capital /Current A/c Dr. To Cash/Bank A/c			
	9. For settlement of unrecorded assets (i) <i>If an unrecorded asset is taken over by a partner:</i> Partner's Capital/Current A/c Dr. To Realisation A/c (ii) <i>If unrecorded assets are sold:</i> Cash/Bank A/c Dr. To Realisation A/c			
	10. For settlement of any unrecorded liability or contingent liability Realisation A/c Dr. To Cash/Bank A/c			
	11. For transfer of profit or loss on realisation (a) <i>In case of profit on realisation</i> Realisation A/c Dr. To Partners' Capital /Current A/c (individually)			

	(b) <i>In case of loss on realisation</i> Partners' Capital /Current A/c (individually) To Realisation A/c	Dr.		
	12. For transfer of accumulated profits (reserve fund or general reserve or credit balance of profit and loss account) and Workmen's Compensation Fund Reserve Fund/General Reserve/Profit and Loss A/c Workmen's Compensation Fund A/c To Partners' Capital /Current A/c (individually)	Dr. Dr.		
	13. For transfer of fictitious assets (e.g. debit balance of profit and loss account, deferred revenue advertisement expenditure, etc.) to partners' capital/current accounts in their profit sharing ratio Partners' Capital /Current A/c (individually) To Fictitious Asset A/c	Dr.		
	14. Settlement of partner's loan (a) For settlement of loan advanced by a partner (appearing on the liabilities side of the balance sheet) (i) <i>If the partner's loan is settled at the same amount:</i> Partner's Loan A/c To Cash/Bank A/c (ii) <i>If the partner's loan is settled at a loss to the firm:</i> Partner's Loan A/c Realisation A/c To Cash/Bank A/c (iii) <i>If the partner's loan is settled at a profit to the firm, the journal entry will be:</i> Partner's Loan A/c To Cash/Bank A/c To Realisation A/c (b) For settlement of loan given to a partner by the firm (appearing on the asset side of the Balance Sheet): Partner's Capital/Current A/c To Loan to Partner A/c	Dr. Dr. Dr. Dr.		
	15. For settlement of partners' capital accounts (a) <i>If the partner's capital account shows a credit balance, the same must be paid to the partner.</i> Partners' Capitals A/cs (individually) To Cash/Bank A/c (b) <i>If any partner's capital account shows a debit balance, he brings in the necessary cash.</i> Cash/Bank A/c To Partner's Capital A/c	Dr. Dr.		

Chapter 6: Accounting for Share Capital

➤ Disclosure of Share Capital in Balance Sheet of a Company

Balance Sheet of _____ as at _____ (As per Schedule III of the Companies Act, 2013)

Particulars	Note No.	Current Year (₹)	Previous Year (₹)
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds			
(a) Share Capital	1.		

Notes to Accounts:

Note No. 1: Share Capital

Particulars	Current Year (₹)	Previous Year (₹)
Authorised or Registered or Nominal Capital: ... shares of ₹.... each		xxx
Issued Capital: shares of ₹.... each issued to public shares of ₹.... each issued to vendor shares of ₹.... each issued to the signatories to the MOA	xxx xxx xxx	xxx

Subscribed Capital: <u>Subscribed and fully paid capital</u> 'x' shares of ₹.... each issued to public ... shares of ₹.... each fully paid issued to vendor shares of ₹.... each issued to the signatories to the MOA <u>Subscribed but not fully paid capital</u> 'x' shares of ₹.... each issued to public, ₹y each called up Less: Calls-in-arrears* Add: Shares forfeiture account**	xxx	
	xxx	
	xxx	xxx
	x × y (xxx)	
	xxx	xxx
		xxx

*Only if shares are not forfeited. **Only if forfeited shares are not reissued.

➤ Accounting Treatment– Issue of Shares to the Public

On application

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c Dr. To Share Application A/c (Being amount received on application for ____ shares @ ₹____ per share including premium, if any)			

On allotment

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For Transfer of Application Money Share Application A/c Dr. To Share Capital A/c ¹ To Securities Premium Reserve A/c ² To Calls-in-Advance A/c ³ (Allotment + Call(s)) To Bank A/c ⁴ (Being application money on ____ shares transferred to Share Capital)			
	For Amount Due on Allotment Share Allotment A/c ⁵ Dr. To Share Capital A/c ⁶ To Securities Premium Reserve A/c ⁷ (Being allotment money due on ____ shares allotted @ ₹____ per share)			
	For Receipt of Allotment Money Bank A/c ¹⁰ Dr. Calls-in-Advance A/c ⁸ Dr. Calls-in-Arrears A/c ⁹ Dr. To Share Allotment A/c ⁵ (Being allotment money received on ____ Shares @ ₹____ per share)			

- No. of shares issued and subscribed × Application money rate without premium
- No. of shares issued and subscribed × Securities premium included in application money rate
- Excess application money adjusted in allotment and/or call(s) money
- (No. of shares rejected × Application money rate including premium) + Refund of excess application money after adjusting in allotment and/or call(s).
- No. of shares issued and subscribed × Allotment money rate including premium
- No. of shares issued and subscribed × Allotment money rate without premium
- No. of shares issued and subscribed × Securities premium included in allotment money rate
- Excess application money adjusted in allotment money
- Unpaid allotment money
- (5) – (8) – (9) i.e. (No. of shares issued and subscribed × Allotment money rate including premium) – Excess application money adjusted in allotment – Unpaid allotment money

On Calls

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
(i)	For Call Amount Due Share Call A/c ¹¹ Dr. To Share Capital A/c ¹² To Securities Premium Reserve A/c ¹³ (Being call money due on ____ Shares @ ₹____ per share including premium)			

(ii)	For Receipt of Call Amount Bank A/c ¹⁶ Calls-in-Advance A/c ¹⁴ Calls-in-Arrears A/c ¹⁵ To Share Call A/c ¹¹ (Being call money received)	Dr. Dr. Dr.			
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11. No. of shares issued and subscribed × Call money rate including premium
12. No. of shares issued and subscribed × Call money rate without premium
13. No. of shares issued and subscribed × Securities premium included in call money rate
14. Excess application money adjusted in call money
15. Unpaid call money
16. (11) – (14) – (15) i.e. (No. of shares issued and subscribed × Call money rate including premium) – Excess application money adjusted in call money – Unpaid call money

Forfeiture of Shares

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Share Capital A/c ¹⁷ *Securities Premium Reserve A/c ¹⁸ To Share Forfeiture A/c ¹⁹ To Calls in Arrears A/c ²⁰ (Being ____ shares forfeited for non-payment of allotment money and calls made)	Dr. Dr.		

17. Number of shares forfeited × Called up amount rate without premium
18. Number of shares forfeited × Premium amount per share not received
*Securities Premium Reserve A/c is debited only if premium money is not received on the forfeited shares. Thus, if the defaulter shareholder has paid the full premium amount, Securities Premium Reserve A/c will not be debited.
19. Amount already received on forfeited shares. But it does not include premium amount.
20. Total unpaid allotment and/or calls amount on forfeited shares including premium

Re-issue of Forfeited Shares

Reissue at par/paid-up value

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c To Share Capital A/c (Being forfeited shares reissued at par)	Dr.		

Re-issue at premium (i.e. at a price more than paid-up value)

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c To Share Capital A/c To Securities Premium Reserve A/c (Being forfeited shares reissued at premium)	Dr.		

Reissue at Discount (i.e. at a price less than paid-up value)

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c (@ re-issued price) Shares Forfeited A/c (Discount on re-issue) To Share Capital A/c (@ paid-up value) (Being forfeited shares reissued at discount)	Dr. Dr.		

The balance of Share Forfeiture Account relating to reissued shares only, should be treated as capital profit and transferred to Capital Reserve Account. The journal entry will be:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Shares Forfeited A/c To Capital Reserve A/c (Being balance of shares forfeited account after re-issue transferred to capital reserve account)	Dr.		

➤ Issue of Shares for Consideration other than Cash

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	1. On purchase of business Sundry Assets A/c (<i>individually</i>) Dr. *Goodwill A/c (if purchase consideration > Net assets taken over) Dr. To Sundry Liabilities A/c (<i>individually</i>) To Vendor's A/c (purchase consideration) To *Capital Reserve A/c (if purchase consideration < Net assets taken over) (Being business purchased from the vendor)			
	2. For payment through cash/cheque/bank draft Vendor's A/c Dr. To Bank A/c (Being part payment through cash/cheque/bank draft) OR For payment through bills of exchange/acceptance/promissory note Vendor's A/c Dr. To Bills Payable A/c (Being part payment through bills of exchange/acceptance/promissory note)			
	3. On issue of shares (a) <i>At par</i> Vendor's A/c Dr. To Share Capital A/c (Being ___ shares issued at par for the remaining payment) (b) <i>At premium</i> Vendor's A/c Dr. To Share Capital A/c To Securities Premium Reserve A/c (Being ___ shares issued at premium for the remaining payment)			

* Either of the two will appear.

Chapter 7: Issue and Redemption of Debentures

➤ Issue of Debentures for Cash

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	On receipt of application money Bank A/c Dr. To x% Debenture Application A/c			
	For adjustment of applications money on allotment x% Debenture Application A/c Dr. To x% Debentures A/c To Securities Premium Reserve A/c			
	For allotment money due x% Debenture Allotment A/c Dr. To x% Debentures A/c To Securities Premium Reserve A/c OR x% Debenture Allotment A/c Dr. Discount on Issue of Debenture A/c Dr. To x% Debentures A/c			
	On receipt of allotment money Bank A/c Dr. To x% Debenture Allotment A/c			

➤ Terms of Issue of Debentures

1. Issued at par and redeemable at par

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To x% Debenture Application & Allotment A/c			
	For allotment of debentures x% Debenture Application & Allotment A/c Dr. To x% Debentures A/c			

2. Issued at a discount and redeemable at par

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To x% Debenture Application & Allotment A/c			
	For allotment of debentures at a discount x% Debenture Application & Allotment A/c Dr. Discount on Issue of Debentures A/c Dr. To x% Debentures A/c			

3. Issued at premium and redeemable at par

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To x% Debenture Application & Allotment A/c			
	For allotment of debentures at a premium x% Debenture Application & Allotment A/c Dr. To x% Debentures A/c (<i>with nominal value of debenture</i>) To Securities Premium Reserve A/c (<i>with premium on issue</i>)			

4. Issued at par and redeemable at a premium

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To Debenture Application & Allotment A/c			
	For allotment of debentures at par and redeemable at premium Debenture Application & Allotment A/c Dr. Loss on Issue of Debentures A/c (<i>with premium on redemption</i>) Dr. To x% Debentures A/c (<i>with nominal value of debenture</i>) To Premium on Redemption of Debenture A/c			

5. Issued at a discount and redeemable at a premium

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To x% Debenture Application & Allotment A/c			
	For allotment of debentures at a discount and redeemable at premium x% Debenture Application & Allotment A/c Dr. Loss on Issue of Debentures A/c (<i>discount on issue and premium on redemption</i>) Dr. To x% Debentures A/c (<i>nominal value of debenture</i>) To Premium on Redemption of Debentures A/c			

6. Issued at a premium and redeemable at a premium

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c Dr. To Debenture Application & Allotment A/c			
	Debenture Application & Allotment A/c Dr. Loss on Issue of Debentures A/c (<i>with premium on redemption</i>) Dr. To Debentures A/c (<i>with nominal value of debenture</i>) To Securities Premium Reserve A/c (<i>with premium on issue</i>) To Premium on Redemption of Debentures A/c			

➤ **Writing-off Discount or Loss on Issue of Debentures (AS 16)**

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Securities Premium Reserve A/c Statement of Profit and Loss To Discount or Loss on Issue of Debentures A/c (Being discount or loss on issue of debentures written-off)	Dr. Dr.		

➤ **Interest on Debentures**

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	When interest is due Debenture Interest A/c To TDS Payable/Income Tax Payable A/c To Debentureholders A/c (Being amount of interest due on debenture and tax deducted at source)	Dr.		
	For payment of interest to debentureholders Debentureholders A/c To Bank A/c (Being amount of interest paid to debentureholders)	Dr.		
	On payment of tax deducted at source to the Government TDS Payable/Income Tax Payable A/c To Bank A/c (For payment of tax deducted at source on interest on debentures)	Dr.		
	On transfer of Debenture Interest to Statement of Profit and Loss Statement of Profit and Loss To Debenture Interest A/c (Being debenture interest transferred to statement of profit and loss)	Dr.		

➤ **Issue of Debentures for Consideration other than Cash**

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	1. On purchase of business Sundry Assets A/c (<i>individually</i>) *Goodwill A/c (if purchase consideration > Net assets taken over) To Sundry Liabilities A/c (<i>individually</i>) To Vendor's A/c (purchase consideration) To *Capital Reserve A/c (if purchase consideration < Net assets taken over) (Being business purchased from the vendor)	Dr. Dr.		
	2. For payment through cash/cheque/bank draft Vendor's A/c To Bank A/c (Being part payment through cash/cheque/bank draft) OR For payment through bills of exchange/acceptance/promissory note Vendor's A/c To Bills Payable A/c (Being part payment through bills of exchange/acceptance/promissory note)	Dr.		
	3. On issue of debentures (a) <i>At par</i> Vendor's A/c To x% Debentures A/c (b) <i>At premium</i> Vendor's A/c To x% Debentures A/c To Securities Premium Reserve A/c (c) <i>At a discount</i> Vendor's A/c Discount on Issue of Debenture A/c To x% Debentures A/c	Dr. Dr. Dr.		

* Either of the two will appear.

➤ Issue of Debentures as a Collateral Security

First Method

No entry is made in the books of accounts since no liability is created by such issue of debentures.

Balance Sheet of X Company as at _____

Particulars	Note No.	Amount (₹)
I. EQUITY AND LIABILITIES		
1. <u>Non-current Liabilities</u>		
Long-term borrowings	1.	xxx

Notes to Accounts:

Particulars	Amount (₹)
1. Long-term borrowings	
Bank Loan	xxx
(Secured by issue of _____, x% debentures of ₹_____ each as Collateral Security)	

Second Method

The issue of debentures as a collateral security may be recorded by means of journal entry as follows:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Debenture Suspense A/c Dr. To 9% Debentures A/c (For issue of _____, x% debentures of ₹_____ each as collateral security for bank loan of ₹_____)		xxx	xxx

Balance Sheet of X Company as at _____ (an Extract)

Particulars	Note No.	Amount (₹)
I. EQUITY AND LIABILITIES		
1. <u>Non-current Liabilities</u>		
Long-term borrowings	1.	xxx

Notes to Accounts:

Particulars	Details	Amount (₹)
1. Long term borrowings		
Bank loan		xxx
_____, x% debentures of ₹_____ each	xxxx (xxx)	—
Less: Debenture Suspense A/c		xxx



Top Tip

In both the methods, the journal entry for obtaining loan from bank will be as follows:

Bank A/c Dr. xxx
To Bank Loan A/c xxx
(For obtaining bank loan)

When the loan is repaid, the issue entry will be cancelled by a reverse entry, as given below:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	x% Debentures A/c Dr. To Debenture Suspense A/c (For cancellation of x% debentures on repayment of bank loan)		xxx	xxx

➤ Redemption of debentures by payment in lump sum (out of capital)

1. If debentures are to be redeemed at par:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	x% Debentures A/c Dr. To Debentureholders A/c (For amount of debentures due for redemption at par)			
	Debentureholders A/c Dr. To Bank A/c (Being amount paid to debentureholders)			

2. If debentures are to be redeemed at premium:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	x% Debentures A/c Dr. Premium on Redemption of Debentures A/c Dr. To Debentureholders A/c (For amount of debentures due for redemption at premium)			
	Debentureholders A/c Dr. To Bank A/c (Being amount paid to debentureholders)			

➤ Redemption on Debentures Out of Profits by Creating Debenture Redemption Reserve (DRR)

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Surplus, i.e. Balance in Statement of Profit and Loss Dr. To Debenture Redemption Reserve A/c (For creation of debenture redemption reserve)			
	Debenture Redemption Investment A/c Dr. To Bank A/c (For purchase of Debenture Redemption Investment)			
	Bank A/c Dr. TDS Collected/Deposited A/c Dr. To Interest on Debenture Redemption Investment A/c (Being interest received on Debenture Redemption Investment)			
	Bank A/c Dr. To Debenture Redemption Investment A/c (Being Debenture Redemption Investment sold)			
	Debentures A/c Dr. To Debentureholders A/c (For amount of debentures due for redemption at par) OR			
	Debentures A/c Dr. Premium on Redemption of Debentures A/c Dr. To Debentureholders A/c (For amount of debentures due for redemption at premium)			
	Debentureholders A/c Dr. To Bank A/c (Being amount paid to debentureholders)			
	Debentureholders A/c Dr. To Bank A/c (Being amount paid to debentureholders)			
	Interest on Debenture Redemption Investment Dr. To Statement of Profit and Loss (For transfer of Interest on Debenture Redemption Investment)			
	Debenture Redemption Reserve A/c Dr. To General Reserve A/c (Being debenture redemption reserve transferred to general reserve)			

Chapter 8: Analysis of Financial Statements

➤ Statement of Profit and Loss

Statement of Profit and Loss for the year ended 31 March, 20....

Particulars	Note No.	Current Year (₹)	Previous Year (₹)
I. Revenue from operations (<i>Sale of products and services, Other operating revenues</i>)			
II. Other income (<i>Interest income, Dividend income, Net gain on sale of investments, Other non-operating income</i>)			
III. Total Revenue (I+II)			

IV. Less: <u>Expenses</u> :			
• Cost of materials consumed • Purchases of stock-in-trade • Changes in inventories of finished goods, Work-in-progress and stock-in-trade (<i>opening inventory – closing inventory</i>) • Employee benefits expense (<i>salary, wages, etc.</i>) • Finance costs (<i>interest payments</i>) • Depreciation and amortisation expense • Other expenses			
Total expenses			
V. Profit before tax (III–IV)			
VI. Less: Tax provision			
VII. Profit after tax (V–VI)			

➤ **Balance Sheet of Company**

Balance Sheet of Company as at 31st March, 20....

Particulars	Note No.	Figure as at the end of current year (₹)	Figure as at the end of previous year (₹)
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds (a) Share Capital (b) Reserves and Surplus (c) Money received against share warrants 2. Share Application money pending allotment 3. Non-current Liabilities (a) Long term borrowings (b) Deferred tax liabilities (net) (c) Other long term liabilities (d) Long term provisions 4. Current Liabilities (a) Short-term borrowings (b) Trade payables (c) Other current liabilities (d) Short-term provisions			
Total			
II. ASSETS			
1. Non-Current Assets (a) Fixed assets (i) Tangible assets (ii) Intangible assets (iii) Capital work-in-progress (iv) Intangible assets under development (b) Non-current investments (c) Deferred tax assets (net) (d) Long-term loans and advances (e) Other non-current assets 2. Current Assets (a) Current investments (b) Inventories (c) Trade receivables (d) Cash and cash equivalents (e) Short term loans and advances (f) Other current assets			
Total			

➤ **Comparative Statement of Profit and Loss**

Particulars	Note No.	2019-20 (₹)	2018-19 (₹)	Absolute Increase/Decrease (₹)	Percentage Increase/Decrease (%)
I. Revenue from operations					
II. Other income					
III. Total Revenue (I+II)					

IV. Less: <u>Expenses</u> :					
• Cost of materials consumed					
• Purchases of stock-in-trade					
• Changes in inventories of finished goods, work-in-progress and stock-in-trade					
• Finance costs					
• Depreciation and amortisation expense					
• Other expenses					
Total expenses					
V. Profit before tax (III–IV)					
VI. Less: Tax provision					
VII. Profit after tax (V–VI)					

➤ **Comparative Balance Sheet**

Particulars	Note No.	March 31, 2019 (₹)	March 31, 2020 (₹)	Absolute Change (₹)	Percentage Change (%)
I. Equity and Liabilities					
1. <u>Shareholders' Funds</u>					
(a) Share capital					
(b) Reserve and surplus					
2. <u>Non-current Liabilities</u>					
Long-term borrowings					
3. <u>Current liabilities</u>					
Trade payables					
Total					
II. Assets					
1. <u>Non-current assets</u>					
(a) <u>Fixed assets</u>					
Tangible assets					
Intangible assets					
2. <u>Current assets</u>					
Inventories					
Cash and Cash Equivalents					
Total					

➤ **Common Size Statement of Profit and Loss**

Particulars	X Ltd. (₹)	Y Ltd. (₹)	X Ltd. As a % of Revenue from operations	Y Ltd. As a % of Revenue from operations
I. Revenue from Operation				
II. Add: Other Incomes				
III. Total Revenue (I+II)				
IV. Less: <u>Expenses</u>				
Cost of material Consumed				
Employee benefit expenses				
Total expenses				
V. Profit Before Tax (III-IV)				
VI. Less: Tax				
VII. Profit after Tax (V-VI)				

➤ **Common Size Balance Sheet**

Particulars	Absolute Amounts		Percentage of Balance Sheet Total	
	P Ltd. (₹)	Q Ltd. (₹)	P Ltd. (%)	Q Ltd. (%)
I. EQUITY AND LIABILITIES				
1. <u>Shareholders' Funds</u>				
(a) Share capital				
(b) Reserve and surplus				
2. <u>Non-current Liabilities</u>				
Long-term borrowings				
3. <u>Current liabilities</u>				
Trade payables				
Total				

II. ASSETS				
1. <u>Non-current assets</u>				
a) Fixed assets				
Tangible assets				
Intangible assets				
b) Non- Current investments				
2. <u>Current assets</u>				
Inventories				
Total				

Chapter 9: Cash Flow Statement

➤ Preparation of Cash Flow Statement

CASH FLOW STATEMENT OF _____ (Company) for the year ending _____

Particulars	Details (₹)	Amount (₹)
I. CASH FLOWS FROM OPERATING ACTIVITIES		
Net Profit/Loss before Tax and Extraordinary Items	xxx or (xxx)	
<u>Add:</u> <i>Non-cash and non-operating expenses for which deductions already made</i>		
• Depreciation	xxx	
• Intangible Assets amortised (Goodwill, Patents, etc. written-off)	xxx	
• Loss on sale of fixed assets or non-current assets	xxx	
• Finance cost (Interest paid on long-term borrowings)	xxx	
• Preliminary expenses written off	xxx	
• Discount/loss on issue of debentures written off	xxx	
• Provision made for doubtful debts	xxx	
• Premium on redemption of debentures	xxx	
<u>Less:</u> <i>Non-operating incomes for which additions already made in Statement of Profit and Loss</i>		
• Interest income	(xxx)	
• Dividend income	(xxx)	
• Rental income	(xxx)	
• Profit on sale of fixed assets or non-current assets	(xxx)	
• Excess provision for depreciation written back	(xxx)	
• Excess provision for doubtful debts written back	(xxx)	
Operating Profit before working capital changes	xxx or (xxx)	
<u>Add:</u>		
• Decrease in current assets (<i>other than current investments, cash and cash equivalents and short-term loans and advances</i>)	xxx	
• Increase in current liabilities (<i>other than short-term borrowings and short-term provisions</i>)	xxx	
<u>Less:</u>		
• Increase in current assets (<i>other than current investments, cash and cash equivalents and short-term loans and advances</i>)	(xxx)	
• Decrease in current liabilities (<i>other than short-term borrowings and short-term provisions</i>)	(xxx)	
Cash Generated from (or used in) Operating Activities before Tax and Extraordinary Items	xxx or (xxx)	
<u>Less:</u> Income Tax paid (Tax on normal profits/operating profits)	(xxx)	
<u>Add:</u> Income Tax Refund received	xxx	
Cash Generated from (or used in) Operating Activities after Tax but before Extraordinary Items	xxx or (xxx)	
+/- Effects of Extraordinary Items (e.g. insurance proceeds from earthquake disaster settlement will be added whereas loss due to theft will be subtracted)	xxx or (xxx)	
A. Net Cash from (or used in) Operating Activities		xxx or (xxx)
II. CASH FLOWS FROM INVESTING ACTIVITIES		
(i) Proceeds from Sale of Tangible Fixed Assets	xxx	
(ii) Proceeds from Sale of Non-Current Investments	xxx	
(iii) Interest received, Dividend received and Rent received	xxx	
(iv) Purchase of Fixed Tangible Assets and Intangible Assets like goodwill	(xxx)	
(v) Purchase of Non-Current Investments	(xxx)	
(vi) Capital Gain Tax paid	(xxx)	
B. Net Cash from (used in) Investing Activities		xxx or (xxx)

III. CASH FLOWS FROM FINANCING ACTIVITIES		
(a) Proceeds from issue of Share Capital (both equity and preference shares)	xxx	
(b) Proceeds from Long-term Borrowings (e.g., debentures, bonds, long-term loan from bank, x% deposits)	xxx	
(c) Securities Premium Reserve (Premium on issue of shares or debentures)	xxx	
(d) Proceeds from Bank Overdraft raised	xxx	
(e) Redemption of Debentures or Preference Shares (including premium on redemption)	(xxx)	
(f) Repayment of Long-term Loan from Bank/x% Deposits	(xxx)	
(g) Buy Back of Equity Shares	(xxx)	
(h) Dividend Paid (both final dividend and interim dividend)	(xxx)	
(i) Interest on Long-term Borrowings Paid (e.g. interest on debentures, long-term loan from bank, x% deposits)	(xxx)	
(j) Dividend Tax paid	(xxx)	
C. Net Cash from (used in) Financing Activities		xxx or (xxx)
NET INCREASE (OR DECREASE) IN CASH & CASH EQUIVALENTS (A+B+C)		xxx
Add: <u>Cash and Cash Equivalents in the beginning</u>		
Cash in hand	xxx	
Cash at bank	xxx	
Current Investments (marketable securities)	xxx	xxx
<u>Cash and cash Equivalents at the end of the year</u>		
Cash in hand	xxx	
Cash at bank	xxx	
Current Investments (marketable securities)	xxx	xxx

Working Notes:**1. Calculation of Tax paid/Provision for Tax made during the current year:**

Dr.		Provision for Tax A/c		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)	
To Bank A/c (Tax paid)		By Balance b/d		
To Balance c/d		By Statement of Profit and Loss		
		(Tax provision of current year)		

2.

Dr.		Tangible Fixed Assets A/c		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)	
To Balance b/d		By Depreciation		
To Statement of Profit and Loss (profit on sale)*		By Bank A/c (sale)		
To Bank A/c (purchase)		By Statement of Profit and Loss (loss on sale)*		
		By Balance c/d		

* Either of the two will appear.

OR

When accumulated depreciation account is appearing in notes to accounts of Balance Sheet:

Dr.		Tangible Fixed Assets A/c		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)	
To Balance b/d		By Bank A/c (proceeds from sale)		
To Statement of Profit and Loss (profit on sale)*		By Accumulated Depreciation (on fixed asset sold)		
To Bank A/c (new fixed assets purchased)		By Statement of Profit and Loss (loss on sale)*		
		By Balance c/d		

* Either of the two will appear.

Dr.		Accumulated Depreciation Account		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)	
To Tangible Fixed Assets A/c (accumulated depreciation on fixed asset sold)		By Balance b/d		
To Balance c/d		By Statement of Profit and Loss		
		(Depreciation charged during the year)		

3. Calculation of Net profit/loss before tax and extraordinary items:

Particulars	Amount (₹)
Net Profit/Loss after Appropriations (difference between the current year's and previous year's balance of Statement of Profit and Loss)	xxx or (xxx)
Add: Interim Dividend paid	xxx
Add: Final Dividend paid	xxx
Add: Transfer to Reserves (e.g. transfer to general reserve)	xxx
Add: Provision for Tax made during the current year	xxx
Less: Income Tax Refund received	(xxx)
Net Profit/Loss before Tax	xxx or (xxx)
Less: Loss due to earthquake (Extraordinary item)	(xxx)
Net Profit before Tax and Extraordinary Items	xxx or (xxx)

Important Tips for Attempting CBSE Accountancy Examination

- During 15 minutes reading time, first of all read the questions having internal choice (Accounting for Share Capital – 8 marks question, Accounting for Partnership Firm – 8 marks question, etc.) and make selection of the option in those questions.
The questions will be written first in Hindi with Question Number, and then in English without Question Number. Be very careful! There may be chances to miss some question (s) to be answered. If possible, you may cross Hindi Questions and write Question Number on English Questions using pencil.
Then read all the Objective Type Question, MCQs and Calculate their answers.
- Make Formats properly including Date Column, J.F/L.F Column etc. (*Format is not compulsory in Theory Questions*)
- Don't forget to write Account Heads – Revaluation Account, Partners' Capital Accounts, etc.
- Don't forget to write Question Number you are answering.
- Read all questions word to word. Otherwise you may miss important information, e.g. X Ltd. issued 1,00,000 shares at a premium of ₹10 per share payable as ₹10 on Application, ₹30 (including premium) on Allotment and ₹10 on first and final call **each**.
In this question there are two calls of ₹10 each. So the Face Value of a share is ₹50.
Similarly, the profit sharing ratio of partners, sometimes, may not be given in the beginning but at the end of the question.
- Write Working Notes only when asked in the questions with instruction – '*Show your workings clearly.*'
- Answer each question from new page (except 1 mark questions)
- Always follow Step by Step Calculation in questions related to Ratio Analysis, Valuation of Goodwill, Stationery Consumed etc.
- If you are a slow-writer and not able to finish the paper on time in your school examinations, you must follow the following important tips to be able to finish your paper on time with some revision time on hand:
 - You needn't use pencil and scale to draw formats. You may use the pen itself you are writing with to draw formats.
 - You needn't write 'To' and 'By' in Ledger Accounts. It will save at least 5 minutes of time in total.
 - Write narrations of the journal entries as briefly as possible without writing 'Being' or 'For', for example, '*Forfeiture of 1,000 shares.*'
- Attempting the full paper on time with 20-25 minutes Revision Time in hand is necessary to score 100% marks. The following Time Schedule will help you managing your time when sitting the examination hall.

Time Schedule

S. No.	Questions	Marks	Duration	Time
1.	Part B – Analysis of Financial Statements	20 marks	40 minutes	11:10 a.m.
	• 7 objective type questions of 1 marks each = 7 marks • 1 short question on ratio analysis/balance sheet = 3 marks • 1 short question on comparative/common size statement = 4 marks • 1 long question on cash flow statement = 6 marks			

31. Classify the following items under major heads and sub-heads (if any) in the Balance Sheet of the company as per Schedule III Part I of the Companies Act, 2013 :

3

- (a) Long Term Loans from Bank
- (b) Loose Tools
- (c) Outstanding Expenses

31.

Q. Classify the following items under major heads....

Ans.

Item	Major Heads	Sub heads
(a) Long Term Loans from Bank	Non –Current Liabilities	Long Term Borrowings
(b) Loose Tools	Current Assets	Inventories
(c) Outstanding Expenses	Current Liabilities	Other Current Liabilities

 $\frac{1}{2}$ mark each**= 3 marks**

31.

Q. Classify the following items under major heads....**Ans.**

Items	Major Heads	Sub heads
(a) Patents	Non –Current Assets	Fixed Assets / Property, Plant and Equipment and Intangible Assets - Intangible Assets
(b) Unpaid Dividend	Current Liabilities	Other Current Liabilities
(c) Prepaid Expenses	Current Assets	Other Current Assets

 $\frac{1}{2}$ mark each**= 3 marks**

31. Q. Classify the following items under major heads....

Ans.

Items	Major Heads	Sub heads
(a) Cheques- in-hand	Current Assets	Cash and cash Equivalents
(b) Marketable Securities	Current Assets	Current Investments
(c) Trademarks	Non-Current Assets	Fixed Assets/ Property, Plant and Equipment and Intangible Assets - Intangible Assets

½ mark each

= 3 marks

31

Q. Classify the following items under major.....

Ans.

<i>S.No.</i>	<i>Items</i>	<i>Heads</i>	<i>Sub Heads</i>
(i)	Calls in advance	Current Liabilities	Other Current Liabilities
(ii)	Mining rights	Non-Current Assets	Fixed Assets / Property, Plant & Equipment & Intangible Assets- Intangible Assets
(iii)	Loose tools	Current Assets	Inventories

$\frac{1}{2} \times 6$
=3 marks

31 **Q. Classify the following items under major.....**

Ans.

<i>S.No.</i>	<i>Items</i>	<i>Heads</i>	<i>Sub Heads</i>
(i)	Unclaimed Dividend	Current Liabilities	Other Current Liabilities
(ii)	Raw Material	Current Assets	Inventories
(iii)	Capital work in Progress	Non-Current Assets	Fixed Assets/ Property, Plant & Equipment & Intangible Assets – Capital work in progress

**½ X6
=3 marks**

31

Q. Classify the following items under major.....**Ans.**

<i>S.No.</i>	<i>Items</i>	<i>Heads</i>	<i>Sub Heads</i>
(i)	Livestock	Non-Current Assets	Fixed Assets-Tangible Assets/ Property, Plant & Equipment & Intangible Assets - Property, Plant & Equipment
(ii)	Accrued Income	Current Assets	Other Current Assets
(iii)	Unpaid Dividend	Current Liabilities	Other Current Liabilities

 **$\frac{1}{2}$ X6
=3 marks**

31	Q. Classify the following items under major heads and sub heads. Ans. <table><tr><th>S.N.</th><th>Item</th><th>Major Head</th><th>Sub Head</th></tr><tr><td>(a)</td><td>Mining Rights</td><td>Non-Current Assets</td><td>Fixed Assets / Property, Plant and Equipment and Intangible Assets - Intangible Assets</td></tr><tr><td>(b)</td><td>Loose Tools</td><td>Current Assets</td><td>Inventories</td></tr><tr><td>(c)</td><td>Income Received in Advance</td><td>Current Liabilities</td><td>Other Current Liabilities</td></tr></table>	S.N.	Item	Major Head	Sub Head	(a)	Mining Rights	Non-Current Assets	Fixed Assets / Property, Plant and Equipment and Intangible Assets - Intangible Assets	(b)	Loose Tools	Current Assets	Inventories	(c)	Income Received in Advance	Current Liabilities	Other Current Liabilities	1/2 x 6 = 3 marks
S.N.	Item	Major Head	Sub Head															
(a)	Mining Rights	Non-Current Assets	Fixed Assets / Property, Plant and Equipment and Intangible Assets - Intangible Assets															
(b)	Loose Tools	Current Assets	Inventories															
(c)	Income Received in Advance	Current Liabilities	Other Current Liabilities															
32	Q. From the following information, calculate																	

31 Q. Classify the following items under major heads and sub heads.

Ans.

S.N.	Item	Major Head	Sub Head
a	Loose Tools	Current Assets	Inventories
b	Provision for Tax	Current Liabilities	Short Term Provisions
c	Copyrights	Non-Current Assets	Fixed Assets / Property, Plant and Equipment and Intangible Assets - Intangible Assets

1/2

x

6

= 3

marks

31 Q. Classify the following items under major heads and sub heads.

Ans.

S.N.	Item	Major Head	Sub Head
a	Capital Work in Progress	Non-Current Asset	Fixed Assets / Property, Plant and Equipment and Intangible Assets – Capital Work in Progress
b	Stores and Spares	Current Assets	Inventories
c	Public Deposits	Non-Current Liabilities	Long Term Borrowings

**1/2
x
6**

**= 3
marks**

31. Classify the.....

Ans.

	Item	Major Head	Sub Head
i	Accrued Income	Current Assets	Other Current Assets
ii	Capital Advances	Non- Current Assets	Long term Loans & Advances

$\frac{1}{2} \times 6$
=3
Marks

	iii	Capital work in progress	Non- Current Assets	Fixed Assets/ Property, Plant & Equipment and Intangible Assets- Capital Work in Progress.	
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31.

Q. Under which.....

Ans.

	Item	Major Head	Sub Head
i	Design	Non- Current Assets	Fixed Assets/Property, Plant & Equipment and Intangible Assets- Intangible Assets
ii	Unpaid dividend	Current Liabilities	Other Current Liabilities
iii	Capital work in progress	Non- Current Assets	Fixed Assets/Property, Plant & Equipment and Intangible Assets.- Capital work in progress

$\frac{1}{2} \times 6$
 = 3
 Marks

31.**Q. Under which.....****Ans.**

	Item	Major Head	Sub Head
i	Capital Advances	Non- Current Assets	Long term Loans & Advances
ii	Income received in advance	Current Liabilities	Other Current Liabilities
iii	Stores and Spare Parts	Current Assets	Inventories

 $\frac{1}{2} \times 6$ **= 3
Marks**

31 Q. Under which major heads

Ans.

<i>S.No.</i>	<i>Items</i>	<i>Heads</i>	<i>Sub Heads</i>
(i)	Stores and Spares	Current Assets	Inventories
(ii)	Calls- in- advance	Current Liabilities	Other Current Liabilities
(iii)	Income received in advance	Current Liabilities	Other Current Liabilities

$\frac{1}{2} \times 6$

=
3
marks

31 Q. Under which major heads

Ans.

16

<i>S.No.</i>	<i>Items</i>	<i>Heads</i>	<i>Sub Heads</i>	
(i)	Computer Software	Non Current Assets	Fixed Assets/ Property, Plant and Equipment and Intangible assets -Intangible Assets	$\frac{1}{2} \times 6$ = 3 marks
(ii)	Unclaimed dividend	Current Liabilities	Other Current Liabilities	
(iii)	Loose Tools	Current Assets	Inventories	

31 Q. Under which major heads

Ans.

<i>S.No.</i>	<i>Items</i>	<i>Heads</i>	<i>Sub Heads</i>
(i)	Patents	Non Current Assets	Fixed Assets/ Property, Plant and Equipment and Intangible assets -Intangible Assets
(ii)	Capital Reserve	Shareholders' Funds	Reserves and Surplus
(iii)	Prepaid Rent	Current Assets	Other Current Assets

$\frac{1}{2} \times 6$

=

3

marks

31.	Q. Classify the following..... Ans.	
-----	--	--

Items	Major head	Sub-head	
(a) Licenses and Franchise	Non Current Assets	Fixed Assets.-Intangible Assets Alternatively, Property, Plant & Equipment and Intangible Assets	$\frac{1}{2} \times 6$ =
(b) Loans Repayable on Demand	Current Liabilities	Short Term Borrowings	
(c) Accrued Income	Current Assets	Other Current Assets	

31. **Q. Classify the following.....**

Ans.

Items	Major head	Sub-head
(a) Unclaimed Dividend	Current Liabilities	Other Current Liabilities
(b) Mining Rights	Non-Current Assets	Fixed Assets- Intangible Assets Alternatively, Property, Plant & Equipment and Intangible Assets
(c) Loose Tools	Current Assets	Inventories

$\frac{1}{2} \times 6$

=

Note: Full credit to be given for writing only Intangible Assets or Fixed Assets under Sub-

31. Q. Classify the following.....

Ans.

Items	Major head	Sub-head
(a) Capital work in progress	Non Current Assets	Fixed Assets Alternatively, Property, Plant and Equipment and Intangible Assets
(b) Calls in advance	Current Liabilities	Other Current Liabilities
(c) Computer software	Non Current Assets	Fixed Assets - Intangible Assets Alternatively, Property, Plant & Equipment and Intangible Assets

½ x6

=

31.**Under which.....****Ans.**

	Item	Major Head	Sub Head
i	Bills Receivable	Current Assets	Trade Receivables
ii	Securities Premium reserve	Shareholders funds	Reserve and Surplus
iii	Calls in Advance	Current liabilities	Other Current liabilities

 **$\frac{1}{2} \times 6$
=3
Marks**

31. Classify the following items.....

Ans.

	Item	Major Head	Sub Head
(i)	Loans repayable on demand	Current liabilities	Short-term Borrowing
(ii)	Bills payable	Current liabilities	Trade payables
(iii)	Patents	Non-current Assets	Fixed Assets – Intangible Alternatively Property, Plant and Equipment & Intangible Assets

**$\frac{1}{2} \times 6$
=3
Marks**

31 Under which major heads.....

Ans.

	Item	Major Head	Sub Head
(i)	Income received in advance	Current liabilities	Other Current liabilities
(ii)	Computer Software	Non Current Assets	Fixed Assets- Intangible Assets Alternatively Property, Plant and Equipment & Intangible Assets
(iii)	Balance of forfeited shares account	Shareholders' Fund	Share Capital

**$\frac{1}{2} \times 6$
=3 Marks**

31. Q. Classify the following items under major heads....

Ans

Item	Major head	Sub head
(i) Mining Rights	Non- Current Assets	Fixed Assets- Intangible Assets <i>Alternatively</i> Property, Plant & Equipment and Intangible Asset- Intangible Assets
(ii) Income received in advance	Current Liabilities	Other Current Liabilities

$\frac{1}{2}$ mark each

$\frac{1}{2} \times 6$

=
3 marks

(iii) Capital work in progress	Non- Current Assets	Fixed Assets <i>Alternatively</i> Property, Plant & Equipment and Intangible Asset
--------------------------------	---------------------	--

31. Q. Classify the following items under major heads....

Ans

Item	Major head	Sub head
(i)Stores and Spares	Current Assets	Inventories
(ii) Capital Advances	Non-Current Assets	Long term loans and advances
(iii)Outstanding Expenses	Current Liabilities	Other Current Liabilities

$\frac{1}{2}$ mark each

$= \frac{1}{2} \times 6$

= 3 marks

31

Q. Classify the following items under major heads....**Ans.**

Item	Major head	Sub head
(i) Public Deposits	Non- Current Liabilities	Long term borrowings
(ii) Income received in advance	Current Liabilities	Other Current Liabilities
(iv) Loose Tools (v)	Current Assets	Inventories

 $= \frac{1}{2} \times 6$ **= 3
marks**

Q. Classify the following items under major.....

Ans.

<i>S.No.</i>	<i>Items</i>	<i>Heads</i>	<i>Sub Heads</i>
1	Patents	Non Current Assets	Fixed Assets—Intangible <i>Alternatively,</i> Property, Plant & Equipment & Intangible Assets
2	Capital work-in-progress	Non Current Assets	Fixed Assets
3	Unpaid dividend	Current Liabilities	Other Current Liabilities

31

Q. Classify the following items under major.....

Ans.

<i>S.No.</i>	<i>Item</i>	<i>Head</i>	<i>Sub Head</i>
1	Loose Tools	Current Assets	Inventories
2	Capital Reserve	Shareholders' Funds	Reserves & Surplus
3	Mining Rights	Non-Current Assets	Fixed Assets—Intangible Alternatively, Property, Plant & Equipment & Intangible Assets

Note: Full credit to be given to the examinees for writing only Fixed Assets or Intangible

½ X6

=3

marks

31

Q. Classify the following items under major.....

Ans.

<i>S.No.</i>	<i>Item</i>	<i>Head</i>	<i>Sub Head</i>
1	Prepaid Rent	Current Assets	Other Current Assets
2	Mortgage Loan	Non-Current Liability	Long Term Borrowings
3	Computer Software	Non-Current Assets	Fixed Assets—Intangible <i>Alternatively,</i> Property, Plant & Equipment & Intangible Assets

Note: Full credit to be given to the examinees for writing only Fixed Assets or Intangible Assets under the sub head of part 3.

**½ X6
=3
marks**

31 Q. Name the major heads and sub heads.

Ans.

S.N.	Item	Major Head	Sub Head
a	Goodwill	Non-Current Assets	Fixed Assets - Intangible
b	Debenture Redemption Reserve	Shareholders' Funds	Reserves and Surplus
c	Licenses and Franchise	Non-Current Assets	Fixed Assets - Intangible

Note –

- *Full Credit to be given for only writing Intangible Asset or Fixed Assets under sub head of part a and c.*
- *Full Credit to be given for writing Property, Plant and Equipment and Intangible Assets in lieu of Fixed Assets under sub head of part a and c.*

1/2

x

6

= 3

marks

31 Q. Under which major heads and sub heads.

Ans.

S.N.	Item	Major Head	Sub Head
a	Cheques-Drafts on Hand	Current Assets	Cash and Cash Equivalents
b	Work-in-Progress	Current Assets	Inventories
c	Balance in Statement of Profit and Loss	Shareholders' Funds	Reserves and Surplus

1/2

x

6

= 3

marks

31 Q. Under which heads and sub heads.

Ans.

S.N.	Item	Major Head	Sub Head
a	Loose Tools	Current Assets	Inventories
b	Calls in Advance	Current Liabilities	Other Current Liabilities
c	Capital Reserve	Shareholders' Funds	Reserves and Surplus

1/2

x

6

= 3

marks

31.

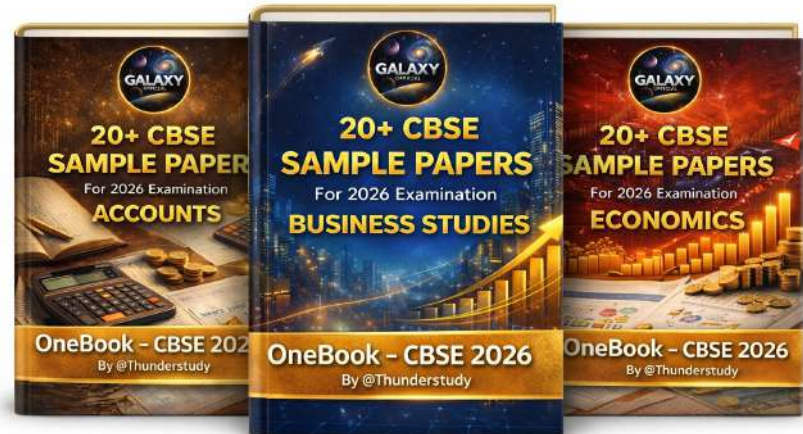
Items	Heading	Sub-Heading
Furniture and Fixture	Non-Current Assets	Property, Plant & Equipment
Advance paid to contractor for building under construction	Non-Current Assets	Long-Term Loans & Advances
Accrued Income	Current Assets	Other Current Assets
Loans repayable on demand to Bank	Current Liabilities	Short Term Borrowings
Employees earned leaves payable on retirement	Non-Current Liabilities	Long Term Provisions
Employees earned leaves encashable	Current Liabilities	Short Term Provisions

1

31	S.No.	Item	Heading	Sub-heading	3
	i.	Loose Tools	Current Assets	Inventories	
	ii.	Loan repayable on demand	Current Liabilities	Short Term Borrowings	
	iii.	Provision for Retirement benefits	Non-Current Liabilities	Long Term Provisions	
	iv.	Pre-paid Insurance	Current Assets	Other Current Assets	
	v.	Capital advances	Non-Current Assets	Long Term Loans and Advances	
	vi.	Shares in Listed Companies	Non-Current Assets	Non-Current Investments	

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